

Research question

An owner of residential real property leased the property to tenants for 5 years, but the tenants did not record the lease. Prior to the end of the five-year term, the owner lost title to the real property through a foreclosure. Do the tenants have the right to maintain that their lease should continue until the end of the five-year term, thus preventing the new owner from evicting them after 60 days notice?

Washington

Summary

In Washington State, tenants with unrecorded five-year leases have qualified rights to maintain their tenancy against new owners who acquire property through foreclosure, but these rights are not absolute. Under Washington law, tenants in possession at the time of foreclosure sale are entitled to a minimum of 60 days' written notice before removal, regardless of whether their lease was recorded [WA ST 61.24.146](#). However, tenants may have stronger protections if the foreclosure purchaser is not a bona fide purchaser due to inquiry notice from the tenant's visible possession  [Peoples Nat. Bank of Washington v. Birney's Enterprises, Inc., 54 Wash.App. 668 \(1989\)](#). The key determining factors are whether the new owner had actual or constructive notice of the tenant's lease rights and whether the new owner qualifies for bona fide purchaser protection under Washington's recording statutes.

Washington Foreclosure Law and Tenant Protections

Washington's Deed of Trust Act provides comprehensive protections for tenants whose rental properties are foreclosed upon. Under RCW 61.24.146, "a tenant or subtenant in possession of a residential real property at the time the property is sold in foreclosure must be given sixty days' written notice to vacate before the tenant or subtenant may be removed from the property as prescribed in chapter 59.12 RCW" [WA ST 61.24.146](#). This statutory protection applies to all tenants in possession at the time of foreclosure sale, regardless of whether their lease agreement was recorded, except when the borrower or grantor remains on the property as a tenant, subtenant, or occupant [WA ST 61.24.146](#).

The foreclosure process itself includes specific tenant notice requirements. When a trustee elects to foreclose on tenant-occupied property, additional notices must be provided advising occupants that "the new property owner may either give you a new rental agreement or provide you with a sixty-day notice to vacate the property" [WA ST 61.24.143](#). These protections recognize that tenants should not bear the immediate

consequences of their landlord's default and provide adequate time to secure alternative housing.

The Inquiry Notice Doctrine and Unrecorded Leases

Washington courts have established that unrecorded leases can survive foreclosure sales when the purchaser is not a bona fide purchaser. In *Peoples National Bank of Washington v. Birney's Enterprises, Inc.*, the Court of Appeals held that "the actual possession of the property by the appellant at the time the respondent's mortgage was filed for record was notice to him of whatever rights a prudent and reasonable inquiry would have revealed"  [Peoples Nat. Bank of Washington v. Birney's Enterprises, Inc., 54 Wash.App. 668 \(1989\)](#). The court emphasized that "the purchaser in such cases takes title subject to every right of the occupant that a reasonable inquiry would have disclosed."

The *Birney's* court found that the bank was not a bona fide purchaser because it failed to investigate the nature of the tenant's occupancy despite visible possession by a separate legal entity. The court rejected the bank's argument that it could rely on assumptions based on its lending relationship, stating that "the applicable standard is that of a prudent purchaser of property"  [Peoples Nat. Bank of Washington v. Birney's Enterprises, Inc., 54 Wash.App. 668 \(1989\)](#). This establishes that visible tenant possession triggers a duty to inquire, and failure to make reasonable inquiry can bind the purchaser to unrecorded tenant rights.

Historical Precedent for Lease Continuation During the Redemption Period

The Washington Supreme Court established important precedent regarding tenant rights during the redemption period following foreclosure proceedings in [Virges v. E.F. Gregory Co., 97 Wash. 333 \(1917\)](#). The court held that a tenant's lease was not automatically terminated by a foreclosure sale during the redemption period, reasoning that "appellant's tenancy was not terminated so as to divest it of the right to continue in possession under its lease or absolve it from the obligation to pay rent as therein agreed, by the mere sale of the property to respondent under the foreclosure decree."

The *Virges* decision was grounded in Washington's redemption statutes, which preserve tenant rights during the redemption period following foreclosure. The court noted that under section 602, Rem. Code (now codified at RCW 6.23.110), when property is "in the possession of a tenant holding under an unexpired lease," the purchaser "shall be entitled to receive from such tenant the rents or the value of the use and occupation thereof during the period of redemption" [Virges v. E.F. Gregory Co., 97 Wash. 333 \(1917\)](#). This establishes that foreclosure sales do not automatically extinguish existing

tenant rights during the redemption period, though the court did not decide whether leases survive the complete transfer of ownership upon expiration of the redemption period.

Bona Fide Purchaser Protection and Recording Act Limitations

While tenants may have rights against foreclosure purchasers, these rights are subject to Washington's recording statute protections for bona fide purchasers. Under RCW 65.08.070, unrecorded conveyances are not binding on subsequent bona fide purchasers without notice  [Peoples Nat. Bank of Washington v. Birney's Enterprises, Inc., 54 Wash.App. 668 \(1989\)](#). The key issue becomes whether the foreclosure purchaser qualifies as a bona fide purchaser.

Washington courts apply a fact-specific inquiry to determine bona fide purchaser status. In *Albice v. Premier Mortgage Services*, the Supreme Court emphasized that "if the purchaser, however, has knowledge or information that would cause an ordinarily prudent person to inquire further, and if such inquiry, reasonably diligently pursued, would lead to discovery of title defects or of equitable rights of others regarding the property, then the purchaser has constructive knowledge of everything the inquiry would have revealed"  [Albice v. Premier Mortg. Services of Washington, Inc., 174 Wash.2d 560 \(2012\)](#).

The court in *Albice* found that an experienced real estate investor was not a bona fide purchaser because his extensive foreclosure experience, combined with suspicious circumstances surrounding the sale, put him on inquiry notice that reasonable investigation would have revealed title defects  [Albice v. Premier Mortg. Services of Washington, Inc., 174 Wash.2d 560 \(2012\)](#). This suggests that sophisticated purchasers face higher scrutiny regarding their inquiry obligations.

Practical Application of Notice Requirements

The statutory framework under the Deed of Trust Act creates a structured approach to post-foreclosure tenant rights. RCW 61.24.060 requires purchasers to provide written notice to tenants in a specific statutory form, advising them that "pursuant to RCW 61.24.146, the purchaser at the trustee's sale may either give you a new rental agreement OR give you a written notice to vacate the property in sixty days or more before the end of the monthly rental period" [WA ST 61.24.060](#).

This notice must be delivered "by both first-class mail and either certified or registered mail, return receipt requested" [WA ST 61.24.060](#). The statute also preserves the new owner's right to negotiate continued occupancy arrangements, as "this section does not prohibit the new owner of a property purchased pursuant to a trustee's sale from

negotiating a new purchase or rental agreement with a tenant or subtenant" [WA ST 61.24.146](#).

Arguments and Rebuttals

Arguments for Tenant Rights (Lease Continuation)

1. Inquiry Notice Protection

- o Visible possession by tenants puts foreclosure purchasers on constructive notice of potential tenant rights, requiring investigation regardless of lease recording status.
- o The *Birney's* precedent establishes that failure to investigate visible occupancy binds purchasers to discovered tenant rights.
- o **Anticipated Rebuttals:** Purchasers may argue they had no reason to believe occupancy was anything other than month-to-month tenancy or that visible possession alone is insufficient notice of specific lease terms.

2. Statutory Minimum Protections

- o RCW 61.24.146 provides uniform 60-day notice protection to tenants in possession at foreclosure, regardless of recording status, except when the borrower or grantor remains on the property as a tenant, subtenant, or occupant [WA ST 61.24.146](#).
- o Legislature intended to protect residential tenants from immediate displacement following foreclosure events.
- o **Anticipated Rebuttals:** New owners may argue that 60-day notice satisfies all legal obligations and that unrecorded lease terms cannot extend this protection.

3. Due Process and Established Possession Rights

- o Tenants with established possession under existing lease agreements have property rights that cannot be summarily terminated.
- o Historical precedent in *Virges* supports lease continuation during the redemption period following foreclosure, though the court did not decide whether leases survive the complete transfer of ownership upon expiration of the redemption period [Virges v. E.F. Gregory Co., 97 Wash. 333 \(1917\)](#).

- o **Anticipated Rebuttals:** Foreclosure purchasers may argue that foreclosure sales specifically cut off junior interests and that tenant protection statutes provide the exclusive remedy.

Arguments Against Tenant Rights (Termination Permitted)

1. Recording Act Priority

- o Washington's recording statute (RCW 65.08.070) protects bona fide purchasers from unrecorded interests, including tenant lease agreements  [Peoples Nat. Bank of Washington v. Birney's Enterprises, Inc., 54 Wash.App. 668 \(1989\)](#).
- o Foreclosure purchasers who lack actual or constructive notice take free of unrecorded tenant claims.
- o **Anticipated Rebuttals:** Tenants may argue that visible possession constitutes sufficient notice to trigger inquiry obligations regardless of recording status.

2. Limited Statutory Notice Obligations

- o The Deed of Trust Act requires formal pre-sale notice to (1) tenants whose leases were recorded after the deed of trust being foreclosed and before the notice of sale, and (2) all occupants of single-family residences and dwelling units in buildings with fewer than five residential units, whether or not the occupant's rental agreement is recorded [West's RCWA 61.24.040](#).
- o Tenants who do not fall within these categories receive protection only through the post-sale 60-day notice requirement.
- o **Anticipated Rebuttals:** Tenants may argue that the inquiry notice doctrine provides additional protection beyond the statutory minimum requirements.

3. Superior Title Through Foreclosure

- o Foreclosure sales convey superior title that cuts off junior interests, subject only to specific statutory protections.
- o New owners should have the right to determine tenancy arrangements without being bound by unrecorded agreements.

- o **Anticipated Rebuttals:** Tenants may argue that inquiry notice and possession rights create superior claims that survive foreclosure when purchaser lacks bona fide purchaser protection.

Cases on Both Sides

The following cases were identified as relevant to your legal issue. To review more cases on both sides, see the "Cases on Both Sides" section below.

Unrecorded Leases Surviving Foreclosure	Recording Act Protection for Purchasers
 Peoples Nat. Bank of Washington v. Birney's Enterprises, Inc., 54 Wash.App. 668 (1989) — The Court of Appeals held that an unrecorded 20-year commercial lease survived foreclosure because the bank was not a bona fide purchaser. The court found that the bank's failure to investigate visible possession by a separate corporate entity constituted constructive notice of tenant rights.	 OneWest Bank, FSB v. Erickson, 185 Wash.2d 43 (2016) — The Washington Supreme Court held that "the party claiming a purchaser had notice of a prior party's interest has the burden to prove such notice." The court found that general public records were insufficient to defeat bona fide purchaser status without recording in the county chain of title.
Virges v. E.F. Gregory Co., 97 Wash. 333 (1917) — The Washington Supreme Court ruled that a tenant's lease continued during the foreclosure redemption period and the tenant remained obligated to pay contractual rent. The court reasoned that foreclosure sales do not automatically terminate existing tenancies during the redemption period and that redemption statutes preserve tenant possession rights during this interim period.	 Steward v. Good, 51 Wash.App. 509 (1988) — The Court of Appeals held that purchasers at nonjudicial foreclosure sales were bona fide purchasers entitled to protection where "they had no notice of any claims of any defects in the sale, nor were they aware of any other party's claim to, any right to, or equity in, the property that might defeat a trustee's deed... Thus, the Goods showed they lacked any actual notice and also showed the payment of a valuable consideration."

Practical Implications

Tenants facing foreclosure of their rental property should document their occupancy and lease terms to establish their rights against foreclosure purchasers. The 60-day

minimum notice requirement under RCW 61.24.146 provides basic protection, but visible possession may extend additional rights through the inquiry notice doctrine. Tenants should maintain evidence of their lease agreement and occupancy to support claims against new owners.

Property purchasers at foreclosure sales must conduct thorough due diligence including physical inspection to identify tenant occupants. The inquiry notice doctrine requires investigation of visible possession to avoid taking subject to unrecorded tenant rights. Purchasers cannot immediately evict tenants post-foreclosure and must follow statutory notice requirements, with the option to negotiate new lease arrangements as an alternative to termination.

Lenders and foreclosing parties should account for tenant possession rights in their foreclosure timeline and pricing strategies. The foreclosure process includes specific notice requirements for tenant-occupied properties, and post-sale procedures must comply with statutory minimum protections regardless of lease recording status.

Recent Developments

Washington courts continue to refine the bona fide purchaser doctrine in foreclosure contexts. The Supreme Court's decisions in  [Albice v. Premier Mortg. Services of Washington, Inc.](#), 174 Wash.2d 560 (2012) and  [OneWest Bank, FSB v. Erickson](#), 185 Wash.2d 43 (2016) have established clearer standards for evaluating inquiry notice. *OneWest Bank* clarified that general public records are insufficient to defeat bona fide purchaser status without recording in the county chain of title, and that the party claiming notice has the burden to prove such notice. *Albice* established that purchasers with real estate experience face heightened scrutiny and that certain circumstances create duties of inquiry that, if unmet, can defeat bona fide purchaser status.

Related Issues

- Landlord lien rights and assignment of rents during foreclosure proceedings, including the enforcement of rent assignments and collection rights during the foreclosure process
- Property maintenance and nuisance abatement responsibilities for foreclosure purchasers during tenant occupancy periods, including compliance with local housing codes
- Federal preemption issues involving the interaction between state foreclosure laws and federal tenant protection statutes such as the Protecting Tenants at Foreclosure Act

- Security deposit and prepaid rent handling following ownership transfer through foreclosure, including the new owner's obligations to honor existing tenant deposits

Commentary on This Question

When a property is lost through foreclosure, tenants under a lease may face termination of their leasehold interest. Generally, a lease subordinate to a mortgage or deed of trust is extinguished by foreclosure, resulting in tenants becoming holdover tenants or tenants at sufferance, who may be evicted by the purchaser unless a specific nondisturbance agreement exists. Many jurisdictions view foreclosure sales as terminating junior leasehold interests unless the mortgagee elects to treat the lease as superior or a nondisturbance agreement is in place. In power-of-sale foreclosures, tenants under subordinate leases often have no rights beyond a tenancy at will or sufferance post-foreclosure absent an agreement with the purchaser to the contrary, and rights often depend on whether notice of foreclosure was provided to tenants or whether the lease was recorded prior to the mortgage's recordation. The absence of lease recording may disadvantage tenants in foreclosure contexts. Courts have held that purchasers at foreclosure generally acquire possession free of junior leases, leaving tenants vulnerable to eviction, although tenants may sometimes assert rights under federal protections or applicable state law [LAWDRE § 13:29](#).

Regarding eviction procedures post-foreclosure, residential landlord-tenant laws typically require landlords or new owners to provide tenants with notice before eviction. Washington law under the Residential Landlord-Tenant Act emphasizes that eviction rights usually arise from tenant default or lease breach, though some jurisdictions require proof of good cause and notice periods before eviction. A new owner's right to possession often becomes effective upon the conclusion of legal processes, and tenants hold a duty to surrender possession upon lease expiration or termination. Holdover tenants may be treated as tenants at sufferance, with landlords having a choice to recognize a new tenancy or treat holdover as wrongful possession subject to eviction. Detailed procedural notice and cause requirements apply to evictions to protect tenants, though these may not extend to tenants whose leasehold rights have been extinguished by foreclosure absent statutory exceptions or federal laws [RELPM § 38:21](#), [68 AMJUR POF 3d 1](#).

Generated by AI. Not legal advice. A qualified professional must verify accuracy and legal compliance.

Sources (15)

1. [61.24.146. Foreclosure of tenant-occupied property--Notice to vacate](#)

WA ST 61.24.146

AI document summary

Statute requiring 60 days written notice before removing tenants in possession at time of foreclosure sale, with exception when borrower or grantor remains as occupant

Supporting section 1 of 3

...(1) A tenant or subtenant in possession of a residential real property at the time the property is sold in foreclosure must be given sixty days' written notice to vacate before the tenant or subtenant may be removed from the property as prescribed in chapter 59.12 RCW....

Supporting section 2 of 3

...(3) This section does not apply if the borrower or grantor remains on the property as a tenant, subtenant, or occupant....

Supporting section 3 of 3

...(2) This section does not prohibit the new owner of a property purchased pursuant to a trustee's sale from negotiating a new purchase or rental agreement with a tenant or subtenant....

2. [Peoples Nat. Bank of Washington v. Birney's Enterprises, Inc.](#)

Court of Appeals of Washington, Division 2. • July 05, 1989 • 54 Wash.App. 668 • 775 P.2d 466

AI document summary

Establishing inquiry notice doctrine for unrecorded leases and visible tenant possession rights against foreclosure purchasers

Supporting section 1 of 2

...The long established Washington rule was firmly stated in Nichols v. DeBritz, supra, as follows: > The actual possession of the property by the appellant at the time the respondent's mortgage was filed for record was notice to him of whatever rights a prudent and reasonable inquiry would have revealed. The purchaser in such cases takes title subject to every right of the occupant that a reasonable inquiry would have disclosed. This rule applies as well to the nature of the tenure as to the quantity of land claimed by the party in possession.

Supporting section 2 of 2

...We find a two-fold error in the trial court's analysis: (1) unwarranted confusion between Mrs. Higgerson and Birney's separate legal persona; and (2) the court's conclusion that the Bank was permitted to forego an inquiry because of (a) its assumptions based on usual lending experiences, and (b) its lack of concern because of reliance, in making loans, on a personal guarantee. As we have already noted, there was no basis in this case for confusing the corporation with its shareholders, and the Bank's assumptions and reliance were irrelevant

3. [61.24.143. Foreclosure of tenant-occupied property--Notice of trustee's sale](#)
WA ST 61.24.143

AI document summary

Requiring notice to tenant-occupied properties during foreclosure proceedings

Supporting section 1 of 1

..."The foreclosure process has begun on this property, which may affect your right to continue to live in this property. Ninety days or more after the date of this notice, this property may be sold at foreclosure. If you are renting this property, the new property owner may either give you a new rental agreement or provide you with a sixty-day notice to vacate the property. You may wish to contact a lawyer or your local legal aid or housing counseling agency to discuss any rights that you may have."...

4. [Virges v. E.F. Gregory Co.](#)
Supreme Court of Washington. • July 21, 1917 • 97 Wash. 333 • 166 P. 610

AI document summary

Holding that tenant leases continue during foreclosure redemption periods and establishing precedent for lease survival during the interim period before ownership fully transfers

Supporting section 1 of 1

...The purchaser from the day of sale until a resale or redemption, and the redemptioner from the day of his redemption until another redemption, shall be entitled to the possession of the property purchased or redeemed, unless the same be in the possession of a tenant holding under an unexpired lease, and in such case shall be entitled to receive from such tenant the rents or the value of the use and occupation thereof during the period of redemption....

5. [Albice v. Premier Mortg. Services of Washington, Inc.](#)
Supreme Court of Washington, En Banc. • May 24, 2012 • 174 Wash.2d 560 • 276 P.3d 1277

AI document summary

Defining bona fide purchaser standards and inquiry notice requirements for experienced foreclosure purchasers

Supporting section 1 of 1

...A "bona fide purchaser," for purposes of determining whether a purchaser of property at a nonjudicial foreclosure sale is entitled to the protections of the Deed of Trust Act, is one who purchases property without actual or constructive knowledge of another's claim of right to, or equity in, the property, and who pays valuable consideration; if the purchaser, however, has knowledge or information that would cause an ordinarily prudent person to inquire further, and if such inquiry, reasonably diligently pursued, would lead to discovery of title

6. 61.24.060. Rights and remedies of trustee's sale purchaser--Written notice to occupants or tenants

WA ST 61.24.060

AI document summary

Establishing post-foreclosure notice requirements and tenant possession rights against purchasers

Supporting section 1 of 2

...2. If you are a tenant or subtenant in possession of the property that was purchased, pursuant to RCW 61.24.146, the purchaser at the trustee's sale may either give you a new rental agreement OR give you a written notice to vacate the property in sixty days or more before the end of the monthly rental period."...

Supporting section 2 of 2

...(3) The notice required in subsection (2) of this section must be given to the property's occupants and tenants by both first-class mail and either certified or registered mail, return receipt requested....

7. 61.24.040. Foreclosure and sale--Notice of sale (Effective until January 1, 2028)

AI document summary

Setting forth pre-sale notice requirements for recorded tenant interests and all occupants of single-family residences and small multi-unit dwellings

8. OneWest Bank, FSB v. Erickson

Supreme Court of Washington, En Banc. • February 04, 2016 • 185 Wash.2d 43 • 367 P.3d 1063

AI document summary

Clarifying burden of proof for challenging bona fide purchaser status and distinguishing general public records from county chain of title for constructive notice purposes

9. Steward v. Good

Court of Appeals of Washington, Division 1. • May 23, 1988 • 51 Wash.App. 509 • 754 P.2d 150

AI document summary

Establishing bona fide purchaser protection standards for nonjudicial foreclosure purchasers

10. § 13:29. Nonjudicial foreclosure

Out of plan

Law of Distressed Real Estate • LAWDRE § 13:29

Supporting section 1 of 3

...In those states following the majority rule, mortgagees may normally preserve favorable leases after foreclosure at their election by not giving such tenants notice of default and sale, and by stating in the notice of sale that the foreclosure is subject to such leases.[1] However, in other states this procedure may not be available or may even void the foreclosure sale. For example, in a foreclosure by advertisement in Minnesota, Minn. Stat. § 580.03, requires, among other things, that a copy of the foreclosure notice shall be served in like

Supporting section 2 of 3

...In power-of-sale foreclosures (where permitted by state law) it is generally more difficult to preserve subordinate leases. Trust deeds containing a power of sale commonly specify that a tenant in possession under a subordinate lease has no rights after a foreclosure sale of the property other than as a tenant-at-will or tenant-at-sufferance, and no landlord-tenant relationship is established simply by purchase of the property at the foreclosure sale by the mortgagee or any other purchaser, absent an agreement by such parties to create such

Supporting section 3 of 3

...In *Dover Mobile Estates v. Fiber Form Products, Inc.*, 220 Cal. App. 3 d 1494, 270 Cal. Rptr. 183 (6 th Dist. 1990), opinion modified, (June 7, 1990), the court held that a trustee's sale extinguished the lease, which contained a provision automatically subordinating the lease to any mortgages or deeds of trust placed on the property subsequent to the date of the lease, unless the mortgagee or beneficiary elected to treat the lease as superior. Prior to the sale, the beneficiary had not elected whether to treat the lease as superior to the deed

11. § 38:21. Defaults and other failures to perform obligations—Remedies for defaults—Cancellation of lease—Eviction—Cause for eviction

Out of plan

Real Estate Leasing Practice Manual • RELPM § 38:21

Supporting section 1 of 1

...Wash. Rev. Code Ann. §§ 59.12.010, 59.18.650(2)(c); Kiemle & Hagood Company v. Daniels, 26 Wash. App. 2 d 199, 528 P.3 d 834 (Div. 3 2023). Just because a landlord holds out their premises for the use of others does not mean the landlord abandons their own right or ability to enjoy their property, as basis for eviction under the Residential Landlord-Tenant Act (RLTA). Reasonableness of interference with use and enjoyment of a premises, as basis for eviction under the Residential Landlord-Tenant Act (RLTA), is typically a question of fact, but

12. Landlord's Recovery of Damages for Tenant's Wrongful Holding Over of Leased Premises

Out of plan

American Jurisprudence Proof of Facts 3d • 68 AMJUR POF 3d 1

Supporting section 1 of 2

...Upon the expiration or termination of a tenant's leasehold interest, it is hardly an infrequent occurrence when a tenant fails or refuses to surrender possession of the leased premises. In situations where a tenant, at one time in rightful possession of property, wrongfully continues possession after the right to possession has terminated, the creation of a special type of tenancy, known as the tenancy at sufferance, has long been recognized at common law.[1] In the words of Lord Coke, "a tenant at sufferance is he that first came in by lawful

Supporting section 2 of 2

...Pursuant to a covenant express or implied in all leases, a tenant is under a duty to surrender possession of the premises to the landlord upon the expiration or termination of the lease.[1] A tenant's failure or refusal to give up possession at the end of the lease term constitutes a holding over.[2] The length of time of holding over and the intention of the tenant are generally irrelevant.[3] A tenant, who remains in possession of the premises without consent of the landlord after the termination of his lease, holds the property without the

Additional sources

These sources are not cited in your report, but can provide context that may be helpful.

13. Commercial Landlord's Duty to Mitigate: State Comparison Chart

Checklist • Law stated as of 16-Jun-2025 • Kentucky

Practical Law resource summary

A Chart offering a state-by-state overview of laws governing a commercial landlord's duty to mitigate damages if a tenant defaults on its lease. This Chart identifies whether a state imposes this duty on a commercial landlord, if that duty arises under statute or case law and identifies which party has the burden of proving mitigation in a landlord-tenant dispute. For counsel, this resource offers guidance on drafting effective lease clauses related to tenant abandonment and landlord remedies, helping to manage risks associated with a tenant breach.

14. Understanding Closing Adjustments in Closing Statements (Commercial Real Estate Purchase and Sale)

Practice Note • **Maintained** • Arizona

Practical Law resource summary

A Practice Note providing guidance on closing adjustments in commercial real estate purchase and sale transactions. This Note explains the purpose and preparation of a closing statement, also known as a settlement statement or flow of funds memo, which itemizes the crucial financial components of a property closing. It examines the process of adjusting and prorating shared income and expenses, such as real estate taxes, utilities, and rental income, between the purchaser and seller. This Note details how these prorations are calculated and represented

15. Commercial Foreclosure (Nonjudicial) Checklist (WA)

Checklist • Law stated as of 29-May-2025 • Washington

Practical Law resource summary

A Checklist outlining important steps for a lender and trustee when preparing for and conducting a nonjudicial foreclosure of a deed of trust secured by commercial real property in Washington. This Checklist reviews pre-foreclosure considerations and covers the nonjudicial commercial foreclosure process from sending the statutory notice of default to obtaining a deficiency judgment.

Cases on Both Sides

The following list contains additional cases found on both sides of your legal issue.

**Unrecorded Leases Surviving
Foreclosure**

**Recording Act Protection for
Purchasers**

 <u>Peoples Nat. Bank of Washington v. Birney's Enterprises, Inc., 54 Wash.App. 668 (1989)</u> The Court of Appeals held that an unrecorded 20-year commercial lease survived foreclosure because the bank was not a bona fide purchaser. The court found that the bank's failure to investigate visible possession by a separate corporate entity constituted constructive notice of tenant rights.	 <u>OneWest Bank, FSB v. Erickson, 185 Wash.2d 43 (2016)</u> The Washington Supreme Court held that "the party claiming a purchaser had notice of a prior party's interest has the burden to prove such notice." The court found that general public records were insufficient to defeat bona fide purchaser status without recording in the county chain of title.
<u>Virges v. E.F. Gregory Co., 97 Wash. 333 (1917)</u> The Washington Supreme Court ruled that a tenant's lease continued during the foreclosure redemption period and the tenant remained obligated to pay contractual rent. The court reasoned that foreclosure sales do not automatically terminate existing tenancies during the redemption period and that redemption statutes preserve tenant possession rights during this interim period.	 <u>Steward v. Good, 51 Wash.App. 509 (1988)</u> The Court of Appeals held that purchasers at nonjudicial foreclosure sales were bona fide purchasers entitled to protection where "they had no notice of any claims of any defects in the sale, nor were they aware of any other party's claim to, any right to, or equity in, the property that might defeat a trustee's deed... Thus, the Goods showed they lacked any actual notice and also showed the payment of a valuable consideration."
 <u>Nichols v. De Britz, 178 Wash. 375 (1934)</u> The court held that a purchaser who had prior knowledge of a tenant's possession was charged with the duty to make reasonable inquiry about the tenant's rights, regardless of whether the tenant had previously been a tenant or held another interest. The court established that the doctrine of notice by reason of possession extends to all substantial rights, not merely title protection, and that reasonable inquiry would have disclosed the tenant's lease rights.	 <u>Laffranchi v. Lim, 146 Wash.App. 376 (2008)</u> The court held that a purchaser at a nonjudicial foreclosure sale is entitled to possession of the property on the twentieth day following the sale as against tenants and occupants who were given all notices to which they were entitled under the foreclosure statute. The court reasoned that the purchaser has the right to summary proceedings under chapter 59.12 RCW to obtain possession, and tenants' rights are subordinate to the foreclosure purchaser's rights when proper notice has been provided.

[Raun v. Caudill, Not Reported in P.3d \(2016\)](#)

The court held that unrecorded occupancy agreements may have superior rights to a deed of trust if the deed of trust holder failed to make reasonable inquiry into the rights of occupants without recorded agreements. The court recognized that occupants and tenants with unrecorded interests may have rights that survive foreclosure if the purchaser at the trustee's sale lacked proper notice of those interests.

[Way v. Choquer, Not Reported in Pac. Rptr. \(2016\)](#)

The court held that notice under RCW 61.24.146 (the foreclosure tenant notice statute) is the only notice required to initiate an unlawful detainer action against a tenant following foreclosure, and separate notice under chapter 59.12 RCW is not required. The court reasoned that the foreclosure statute provides sufficient protection to tenants through the 60-day notice requirement, and only tenants in actual occupation at the time the complaint is filed need be named as defendants.

[Debenture Corp., Ltd., of London v. Warren, 9 Wash. 312 \(1894\)](#)

The court held that a purchaser at a foreclosure sale is entitled to possession from the day of sale unless the property is in the possession of a tenant holding under an unexpired lease, in which case the purchaser is entitled to receive rents but the tenant's occupancy continues. The court reasoned that statutory provisions protecting tenant occupancy apply equally to foreclosure sales as to other sales, and the explicit language of the statute cannot be construed to eliminate tenant protections.

 [Scott v. Woolard, 12 Wash.App. 109 \(1974\)](#)

The court held that possession by a tenant supplies no notice to a prospective purchaser other than the tenant's right to occupy as a tenant, and that such possession does not prevent a purchaser from achieving bona fide purchaser status. The court found that a purchaser who conducted reasonable inquiry and relied on record title and the vendor's representations was a bona fide purchaser for value, and thus an unrecorded lease was void against the purchaser's recorded deed.

[National Bank of Commerce v. Fountain, 9 Wash.App. 727 \(1973\)](#)

The court held that a leasehold interest not specifically set forth in a mortgage was not encumbered by the mortgage and remained in effect following mortgage foreclosure. The court reasoned that where a life tenant granted a 50-year lease to a remainderman, the life tenant's reversionary interest precluded merger

[River Stone Holdings NW, LLC v. Lopez, 199 Wash.App. 87 \(2017\)](#)

The court held that a former homeowner's arguments regarding defective title, improper assignment of the promissory note, and non-compliance with the Deeds of Trust Act are not available defenses to an unlawful detainer action brought by a purchaser at a trustee's sale. The court reasoned that an unlawful detainer defendant generally

of the lessee's remainder interest and leasehold estate, thus preserving the lease rights despite the foreclosure.	cannot raise defective title as a defense to possession, and the former owner must challenge the sale through the statutory restraining order procedure or lose the right to do so.
<u>R. Thoreson Homes, LLC v. Prudhon, 197 Wash.App. 38 (2016)</u> The court held that once a property is sold with a tenant in place, the new owner must determine whether to keep the tenant or provide just cause for termination, and cannot rely on an 'intent to sell' justification if the property has already been sold with the tenant in residence. The court reasoned that allowing such termination would enable the new owner to evade tenant relocation obligations and frustrate the intent of protective ordinances.	<u>Seattle-First Nat. Bank v. Westlake Park Associates, 42 Wash.App. 269 (1985)</u> The court held that a lease provision regarding termination of the lease at the lessor's option if the leasehold estate is taken by process of law applied to deed of trust sales. The court reasoned that deed of trust sales are involuntary transactions similar to mortgage foreclosures, and the parties' original lease provisions established their intent that the lessee's interest could be mortgaged and that foreclosure sales would trigger termination rights.
<u>Parks v. Lepley, 160 Wash. 287 (1931)</u> The court held that a tenant may acquire the landlord's title by purchase at foreclosure sale during tenancy, and that a lessee who purchases the leased land at foreclosure remains bound to account to the original lessor as landlord under the lease. The court reasoned that the purchase of the landlord's title does not automatically merge the leasehold and fee interests.	<u>Selene RMOF II REO Acquisitions II, LLC v. Ward, 189 Wash.2d 72 (2017)</u> The court held that a purchaser of a single-family residence acquired through a nonjudicial foreclosure sale obtained the full right to pursue an unlawful-detainer action against occupants, and that the bank's transfer via special warranty deed conveyed the entire fee simple interest. The court reasoned that RCW 61.24.060(1) provides that the purchaser at a deed of trust foreclosure sale may bring an unlawful detainer action against an occupier of the property.
<u>Foote v. Kearney, 157 Wash. 681 (1930)</u> The court held that actual, visible, and adverse possession by tenants for more than ten years inured to the benefit of the landlord and protected the landlord's interest against a subsequent	<u>Fannie Mae v. Steinmann, 181 Wash.2d 753 (2014)</u> The court held that a purchaser of a home at a trustee's sale had the right to bring an unlawful detainer action against occupants who had defaulted on the mortgage and refused to vacate after the

purchaser. The court established that tenants' open and notorious occupation of property, even as tenants, can create protectable rights that bind subsequent purchasers.	sale. The court reasoned that the deed of trust and foreclosure process transferred sufficient rights to the purchaser to remove occupants from the property.
 <u>Jordan v. Nationstar Mortgage, LLC, 185 Wash.2d 876 (2016)</u> The court held that under Washington's lien theory of mortgages, a borrower retains the right to possession of property prior to foreclosure and that a lender cannot take possession before foreclosure and sale according to law. The court established that tenant-like possession rights are protected even in the foreclosure context and cannot be summarily extinguished.	 <u>Hendricks v. Lake, 12 Wash.App. 15 (1974)</u> The court held that a restrictive covenant in an unrecorded lease does not bind a bona fide purchaser of a leasehold estate in premises outside the lessee's chain of title under RCW 65.08.070. The court reasoned that bona fide purchasers are protected from unrecorded lease provisions when they acquire interests outside the lessee's chain of title.
 <u>McVean v. Coe, 12 Wash.App. 738 (1975)</u> The court held that where recorded contracts were executory and the purchase price had not been fully paid, neither the partnership nor its grantees were bona fide purchasers for value, and therefore the plaintiff's prior unrecorded lease option and hunting rights agreement was not affected by the executory contracts. The court found that inquiry notice from the recorded contract stating it was subject to the plaintiff's rental agreement charged the partnership with knowledge of the unrecorded lease.	<u>Kezner v. Landover Corp., 87 Wash.App. 458 (1997)</u> The court held that all interests in real property subject to a mortgage or deed of trust pass to the purchaser at foreclosure, including any interest in unpaid rent that was part of the security granted in the deed of trust. The court reasoned that the former owner has no interest in unpaid rent after foreclosure because any interest in unpaid rent is part of the bundle of rights passed to the new owner upon foreclosure.
 <u>Sorenson v. Pyeatt, 158 Wash.2d 523 (2006)</u> The Washington Supreme Court held that equitable liens may be imposed by courts to prevent unjust enrichment and protect parties against inequitable loss, even beyond limited circumstances	 <u>Valentine v. Portland Timber & Land Holding Co., 15 Wash.App. 124 (1976)</u> The court held that provisions of the recording statute should protect the foreclosing mortgagee as well as the purchaser at a foreclosure sale against unrecorded and unknown interests. The

previously recognized. The court established that equitable liens can be applied in various contexts where the particular legal circumstances and equities call for such a remedy, providing a flexible framework for trial courts to determine appropriateness based on specific factual situations.	court reasoned that recording statutes are designed to protect purchasers at foreclosure sales from unrecorded interests in the property.
<u>Canyon Lumber Co. v. Sexton, 93 Wash. 620 (1916)</u> The Supreme Court held that a lien claimant foreclosing on a leasehold interest could acquire only the rights that the tenant possessed at the time of foreclosure, and could not acquire greater rights through the foreclosure process. The court established that the status of the underlying lease at the time of the lien foreclosure sale determines what rights, if any, pass to the foreclosing lien claimant.	<u>Security Sav. & Loan Soc. v. Dudley, 175 Wash. 50 (1933)</u> The court held that a purchaser at a foreclosure sale was entitled to rents accruing on the mortgaged property during the redemption period, even where an unrecorded lease existed and overlapped that period. The court reasoned that the foreclosure purchaser's rights supersede those of unrecorded lease interests when the lease was not recorded and the purchaser acquired the property through foreclosure.
<u>Doyle v. Hicks, 78 Wash.App. 538 (1995)</u> The court held that notice of an adverse claim provided by occupants' open possession of property and recorded transfers of title was sufficient to defeat a claim that the owner lacked notice. The court reasoned that notice was provided by the nature of possession and the type of property at issue, establishing that visible occupancy can provide constructive notice to prospective purchasers.	<u>Tomlinson v. Clarke, 60 Wash.App. 344 (1991)</u> The court held that a purchaser under an executory real estate contract may qualify as a bona fide purchaser under the recording statute even without acquiring legal title through all installment payments, provided the purchaser has no notice of competing interests and properly records the contract. The court's holding expanded bona fide purchaser protection to contractual purchasers, strengthening protections for those who record their interests first.
<u>Cook v. Thompson, Not Reported in Pac. Rptr. (2021)</u> The court held that a purchaser at a nonjudicial foreclosure sale lacked standing to evict a tenant when the	 <u>Tomlinson v. Clarke, 118 Wash.2d 498 (1992)</u> The Supreme Court held that purchasers under real estate contracts may take advantage of the bona fide purchaser

trustee failed to provide the required notice of foreclosure to the tenant as mandated by RCW 61.24.040(4). The court reasoned that the tenant's failure to challenge the foreclosure sale did not constitute a waiver of defenses where the tenant never received proper notice of the foreclosure proceedings, thus preserving the tenant's rights against an improperly conducted foreclosure.

doctrine and that a 1984 amendment to the recording statute granting this opportunity was remedial and should be applied retroactively. The decision affirmed that qualified buyers, including those purchasing under real estate contracts, have the opportunity to obtain bona fide purchaser protection under Washington's recording statute.



[Debentures, Inc. v. Zech, 192 Wash. 339 \(1937\)](#)

The court held that a mortgagor who assigned rents to a mortgagee but remained in possession retained implied authority as agent to bind the mortgagee through agreements with tenants, allowing a tenant to remain in possession after foreclosure while work credits remained outstanding. The court reasoned that the mortgagor's agency authority and the tenant's equitable position based on the mortgagor's authorized agreement permitted the tenant to maintain occupancy despite the foreclosure sale.

[Levien v. Fiala, 79 Wash.App. 294 \(1995\)](#)

The court held that a bona fide purchaser of an interest in real property is entitled to rely on record title and that the protection afforded by the recording statute is unaffected by the vendor's lack of good faith or by matters of which the vendor has notice. The court established that bona fide purchasers receive conclusive protection under RCW 65.08.070 based on their status as first recorded purchasers.



[Oregon-Washington R. & N. Co. v. Eastern Oregon Banking Co., 81 Wash. 617 \(1914\)](#)

The court held that a lessee's right to mortgage buildings erected on leased premises was not invalidated by a no-assignment clause in the lease, and the mortgagee of the lessee's interest could foreclose and remove the property. The court reasoned that the lessee became the owner of the buildings under the lease terms and therefore possessed the power to sell or mortgage them, with the mortgagee succeeding to the lessee's title upon foreclosure.



[Miebach v. Colasurdo, 35 Wash.App. 803 \(1983\)](#)

The court held that a purchaser may ordinarily rely on record title when purchasing property for purposes of qualifying as a bona fide purchaser without notice. The court found that the purchaser was a bona fide purchaser for value without notice of any competing claims.

 <u>Kaufman Bros. Const., Inc. v. Olney's Estate, 29 Wash.App. 296 (1981)</u> The court held that lessees who were not in default under their lease at the time they exercised an option to purchase were not subordinate to a mortgage lien subsequently obtained by the lessor. The court reasoned that the absence of a prior declaration of forfeiture meant the lessees maintained their rights under the lease, which were not extinguished by the mortgagee's subsequent lien.	<u>Diaz v. North Star Trustee, LLC, 16 Wash.App.2d 341 (2021)</u> The court held that a purchaser failed to establish bona fide purchaser status because the purchaser had constructive notice of a superior lien holder's interest, and thus purchased the property subject to that superior interest. The court applied RCW 65.08.070 to require that a bona fide purchaser must have no notice of competing interests to receive recording act protection.
<u>Equitable Sav. & Loan Ass'n v. Anderson, 113 Wash. 420 (1920)</u> The court held that where a valid lease was of record at the time of mortgage execution, the lessee retained the right to possession at foreclosure, and a receiver could not be appointed to take possession of the property but only to collect rents. The court reasoned that the recorded lease gave the lessee superior rights to possession that the mortgagee could not disturb through receivership.	 <u>Guardado v. Taylor, 17 Wash.App.2d 676 (2021)</u> The court held that to qualify as a bona fide purchaser under Washington law, a party must pay value for an interest in land, record its interest first, and act in good faith without notice of a prior party's unrecorded interest. The court established that Washington is a race-notice jurisdiction where the first recorded interest prevails if the purchaser is in good faith without notice.
<u>Vansant v. Hartman, 88 Wash. 636 (1915)</u> The court held that a mortgagee of a leasehold interest foreclosing against lessees took only the leasehold interest at the foreclosure sale, not the underlying fee title. The court reasoned that the mortgage was limited to the leasehold interest the mortgagor possessed at the time of the mortgage, and the lessee's subsequent acquisition of fee title did not become subject to the mortgage.	 <u>Glidden v. Municipal Authority of Tacoma, 111 Wash.2d 341 (1988)</u> The court held that if a purchaser at a nonjudicial foreclosure sale is a bona fide purchaser for value, the recital in the deed that the sale complied with statutory prerequisites is conclusive as to the correctness of foreclosure procedures. The court established that bona fide purchaser status provides conclusive protection regarding the validity of foreclosure sale procedures.

[Tordello v. Ellison, 132 Wash. 20 \(1924\)](#)

The court held that where a mortgagee had knowledge of an earlier unrecorded mortgage at the time of taking the mortgage, the mortgagee takes subject to that earlier mortgage and cannot gain priority by recording first. The court established that actual knowledge of an unrecorded interest defeats the recording act's protection for subsequent purchasers.

 [Newport Yacht Basin Ass'n of Condominium Owners v. Supreme Northwest, Inc., 168 Wash.App. 56 \(2012\)](#)

The court held that Washington State's recording act is a race-notice statute under which recording of a deed imparts constructive notice of the estate or interest acquired to all subsequent purchasers. The court established that constructive notice applies regardless of whether subsequent purchasers are bona fide purchasers for value or have actual notice of the conveyance, thereby protecting the recording system's integrity.

[Walden v. Welch, Not Reported in Pac. Rptr. \(2023\)](#)

The court held that a purchaser at a trustee's sale has the right to summary proceedings under chapter 59.12 RCW to obtain possession of real property. The court established that RCW 59.12.032 authorizes the purchaser at a deed of trust foreclosure sale to bring an unlawful detainer action to evict the previous owner.

 [Ellingsen v. Franklin County, 117 Wash.2d 24 \(1991\)](#)

The court held that documents designated as public records do not automatically create constructive notice of their content merely by virtue of being filed in an office of record, and that treating all public records as constructive notice would undermine the stability and certainty provided by the county recording system under RCW 65.04. The court emphasized that the grantor-grantee index system provides the proper framework for determining what constitutes constructive notice in real property transactions.

 [Indigo Real Estate Services, Inc. v. Wadsworth, 169 Wash.App. 412 \(2012\)](#)

The court held that a Section 8 tenant cannot be found to have unlawfully detained premises absent a determination that the tenant's conduct resulted in good cause to terminate the tenancy, even when a new owner seeks to evict through unlawful detainer. The court reasoned that landlords

[MHM & F, LLC v. Pryor, 168 Wash.App. 451 \(2012\)](#)

The court held that a stock foreclosure sale extinguished the tenant's interest in shares and terminated the proprietary lease, vesting ownership in the new owner who acquired the right to enter a new lease or evict the tenant. The court reasoned that the foreclosure sale transferred all interests in the property to

participating in the federal Section 8 program must comply with program rules requiring good cause for termination during the lease term, and these protections apply regardless of ownership changes or foreclosure.	the purchaser, and the lease provisions regarding subletting and expiration upon sale of shares supported the new owner's right to control tenancy.
 <u>Pham v. Corbett, 187 Wash.App. 816 (2015)</u> The court held that the terms of a fixed lease apply to the terms of a holdover tenancy, establishing that lease protections survive the transition from a fixed term to a holdover period. The court reasoned that this general rule applies even in the absence of explicit language in a holdover provision, protecting tenant rights across different tenancy phases.	 <u>Paganelli v. Swendsen, 50 Wash.2d 304 (1957)</u> The court held that vacant buildings on land with no other visible indication of possession are insufficient to create constructive notice or a duty of inquiry regarding prior unrecorded interests. The court established that mere vacant structures do not provide adequate notice to charge a purchaser with knowledge of unrecorded rights.
 <u>Cox v. Helenius, 103 Wash.2d 383 (1985)</u> The court held that a suit filed by grantors of a deed of trust against the grantee for damages and reconveyance prevented the trustee's subsequent initiation of nonjudicial foreclosure proceedings and made the trustee's sale void. The court reasoned that an action on the underlying obligation prevents foreclosure proceedings under RCW 61.24.030(4), and that extreme disparity between sale price and property value combined with trustee misconduct can justify setting aside a sale even after the fact.	 <u>Glaser v. Holdorf, 56 Wash.2d 204 (1960)</u> The court held that possession provides notice only of such facts as inquiry of the occupant would disclose, and that a purchaser is charged only with knowledge that reasonable inquiry would have revealed. The court established that a bona fide purchaser status is not defeated by possession alone if the person in possession has no knowledge of fraud or other defects.
<u>Time Oil Co. v. Palmer, 28 Wash.2d 272 (1947)</u> The court held that the possession of a tenant combined with recording of a lease was sufficient to put a purchaser on notice of the tenant's option to buy premises. The court recognized that	 <u>Rehm v. Reilly, 161 Wash. 418 (1931)</u> The court held that possession by a tenant supplies notice to a purchaser only of the tenant's right to occupy as a tenant, not of any fee-simple title or other

visible possession and lease recording together create constructive notice that binds subsequent purchasers to the tenant's rights.	superior rights held by the tenant. The court established that a tenant's possession is not inconsistent with the record owner's right to convey fee-simple title and therefore does not defeat bona fide purchaser status.
 <u>In re Murphy's Estate, 191 Wash. 180 (1937)</u> The court held that courts of equity uphold agreements entered into by owners of real estate for conveyance of fee title where a claimant has been put into possession as a tenant and has performed conditions entitling them to conveyance of title. The court reasoned that an instrument restricting the lessor's title and providing that title would vest in the lessee upon certain conditions shows a conveyance of a present interest to the lessee beyond a mere lease.	<u>In re Smith, 93 Wash.App. 282 (1998)</u> The court held that a recorded deed imparts constructive notice to subsequent parties and that bona fide purchasers for value who act in good faith without actual or constructive notice of prior unrecorded interests acquire superior title. The court applied the recording statute to determine that the recorded deed provided constructive notice to the bank of the lenders' interest, giving the lenders priority to surplus foreclosure proceeds.
<u>Viewcrest Condominium Association v. Robertson, 197 Wash.App. 334 (2016)</u> The court held that a homeowner debtor's statutory right to possession during the redemption period controls over a lienholder's rights prior to a forced foreclosure sale. The court reasoned that statutory protections for occupants during redemption periods reflect legislative intent to preserve occupancy rights despite foreclosure proceedings, applying principles similar to tenant protection statutes.	<u>Heritage Farms, Inc. v. Madsen, Not Reported in P.2d (1997)</u> The court held that recorded real estate contracts provide constructive notice to all persons of the rights of the vendee under the contract, and that constructive notice from recorded documents is imputed to subsequent parties in the chain of title. The court established that recording of instruments involving real estate transactions provides constructive notice sufficient to protect subsequent purchasers relying on the record.
<u>Costanzo v. Harris, 71 Wash.2d 254 (1967)</u> The court held that it is a condition precedent to occupancy of property as a valid homestead during the redemption period after mortgage foreclosure sale that it be selected and	 <u>Kendrick v. Davis, 75 Wash.2d 456 (1969)</u> The court held that recording of an instrument provides constructive notice only to parties acquiring interests subsequent to the filing and recording, and does not constitute notice to

occupied in the manner provided by law. The court reasoned that occupancy rights during redemption periods are statutory protections that must be properly invoked but, when valid, protect occupants against immediate displacement by foreclosure purchasers.	antecedents in the chain of title. The court established that recorded security interests do not provide constructive notice to prior parties such as vendors.
<u>Pease v. Stephens, 173 Wash. 12 (1933)</u> The court held that homesteaders may retain possession during the redemption period without accounting for the value of occupation, and that this protection is not inconsistent with other statutory provisions regarding possession after foreclosure. The court reasoned that statutory protections for certain occupants during redemption periods represent legislative policy to preserve occupancy rights despite foreclosure sales.	 <u>Udall v. T.D. Escrow Services, Inc., 132 Wash.App. 290 (2006)</u> The court held that the general purpose of the Recording Act is to place subsequent purchasers on notice of property transfers, not to convey rights in land to purchasers. The court recognized that unrecorded deeds are valid conveyances between parties but that the recording act protects subsequent purchasers who rely on the recorded chain of title.
<u>JP Morgan Chase Bank, NA v. Unknown Heirs of Porter, 16 Wash.App.2d 591 (2021)</u> The court held that title remains with the judgment debtor during the redemption period and that what passes to the purchaser at a foreclosure sale is only an inchoate interest which may or may not ripen into title. The court reasoned that the redemption period provides statutory protection to occupants and their successors, limiting the foreclosure purchaser's rights until redemption expires.	<u>Chelan County v. Wilson, 49 Wash.App. 628 (1987)</u> The court held that the intention of the recording act is to require persons claiming an interest in real property to record such interest to give notice of their claims. The court recognized that unrecorded conveyances of realty are valid between parties but that recording is necessary to provide notice to subsequent purchasers.
<u>Vasant v. Hartman, 91 Wash. 690 (1916)</u> The court held that a mortgagee who purchased under foreclosure sale and failed to pay rent did not forfeit the	 <u>Shepard v. Holmes, 185 Wash.App. 730 (2014)</u> The court held that a purchaser has constructive notice of a recorded deed at the time of purchase and that such

lease despite the belief that ownership of the fee had been acquired. The court reasoned that under the complicated conditions of the transaction, there was no intention of the parties to terminate the lease.	constructive notice is imputed by the recording statute. The court applied the recording statute to determine that the purchaser was charged with constructive notice of the recorded interest.
 <u>Denny's Restaurants, Inc. v. Security Union Title Ins. Co., 71 Wash.App. 194 (1993)</u> The court addressed a situation where Denny's acquired property held under an unrecorded 20-year lease that was assigned in a property purchase, and the title insurer was required to account for the unrecorded lease in its title commitment. The case demonstrates that unrecorded long-term leases can retain significance in property transactions and must be considered by title insurers despite not being recorded.	 <u>Strong v. Clark, 56 Wash.2d 230 (1960)</u> The court held that when an instrument involving real property is recorded, it becomes notice to all the world of its contents and provides constructive notice of interests in the property. The court established that recording of an option to purchase constituted an interest in real property that gave constructive notice to all persons.
<u>Monegan v. Pacific Nat. Bank of Washington, 16 Wash.App. 280 (1976)</u> The Court of Appeals held that an equitable lien is a remedy that gives a creditor the right to have property subjected in equity to payment of a claim, and that the debtor retains both title and right to possession until court action is taken to subject the security to payment of the debt. The court established that an equitable lien is neither a debt nor a right of property but a special charge or encumbrance that must be enforced through judicial proceedings.	 <u>Bremerton Creamery & Produce Co. v. Elliott, 184 Wash. 80 (1935)</u> The court held that a person buying real estate may be assumed to be an innocent purchaser within the meaning of the recording statute unless he had actual knowledge of an outstanding unrecorded deed or notice sufficient to put him on inquiry. The court established that the recording act protects purchasers without notice of unrecorded interests.
 <u>Geer v. Tonnon, 137 Wash.App. 838 (2007)</u> The Court of Appeals held that a mortgagee may have an equitable lien upon insurance proceeds when the	<u>Zervas Group Architects, P.S. v. Bay View Tower LLC, 161 Wash.App. 322 (2011)</u> The court held that ordinarily an unrecorded interest in real property is

mortgagor covenants to keep the mortgaged property insured, and that a receiver stands in the shoes of the mortgagor regarding insurance policy proceeds. The court established that equitable liens can be enforced directly against parties holding rights equivalent to those of the original obligor.	subordinate to a recorded interest, and that a bona fide lender's recorded security interest in property will generally take priority over unrecorded or subsequently recorded encumbrances. The court applied Washington's recording statute (RCW 65.08.070) to establish that recorded interests prevail over unrecorded ones in priority disputes.
 <u>Goddard v. Morgan, 193 Wash. 83 (1937)</u> The court held that a landlord's lien on personal property placed on leased premises could be foreclosed as a prior and superior lien to subsequent mortgages on the same property. The court reasoned that the landlord's interest in the leased premises and the rental relationship created enforceable rights that survived competing claims based on the timing and nature of the respective interests.	 <u>In re Esparza, 118 Wash.2d 251 (1992)</u> The court held that valid suppliers' liens and perfected security interests had priority according to their time of filing over a landlord's lien when filed prior to the filing of the landlord's lien, and that recording of a lease with the County Auditor constituted notice under Washington law. The case establishes that priority is determined by the order of recording and filing of interests in property.
<u>Book v. Willey, 8 Wash. 267 (1894)</u> The court held that a defendant claiming a superior interest based on a judgment subsequent to a mortgage could demonstrate that the lease had been abrogated after the mortgage was executed, even though records still showed the leasehold interest. The court reasoned that the actual status of the lease relationship, rather than recorded title, determined the priority of interests in foreclosure proceedings.	<u>John M. Keltch, Inc. v. Don Hoyt, Inc., 4 Wash.App. 580 (1971)</u> The court held that priority once acquired by recording of a mortgage is not lost because one holds it under an unrecorded assignment, establishing that the first recorded interest maintains its priority status. The court emphasized that recording provides notice to all subsequent parties and fully protects the grantee's rights regardless of subsequent unrecorded transfers.
 <u>Cochran v. Lakota Land & Water Co., 171 Wash. 155 (1933)</u> The court held that under a lease and written agreement between lessors and lessees relating to a mortgage on leased premises, the lessors' rights	<u>Miller v. American Sav. Bank & Trust Co., 119 Wash. 243 (1922)</u> The court held that priority once acquired by recording of a mortgage cannot be lost by one holding it under an unrecorded assignment, and that an

upon the lessees' default in mortgage interest payments were not limited to forfeiture of the lease. The court reasoned that the written agreement created broader remedies for the lessors beyond simple lease termination.	assignee of a recorded mortgage for valuable consideration without notice of prior unrecorded interests is entitled to hold the mortgage as a prior lien solely on the ground that it was first recorded. This establishes the fundamental principle that recording determines priority in Washington property law.
 <u>Turner v. White, 20 Wash.App. 290 (1978)</u> The court held that a tenant at will is terminable only upon demand for possession allowing the tenant reasonable time to vacate, and the unlawful detainer statute does not apply to such tenancies. The court recognized that the nature of the tenancy and the terms of possession determine the notice requirements and eviction procedures available to a landlord.	<u>Bel Air & Briney v. City of Kent, 190 Wash.App. 166 (2015)</u> The Court of Appeals held that while equitable subrogation may apply to give a purchaser an equitable lien with priority over a lender's lien, the purchaser was not permitted to foreclose its equitable lien against the property. The court determined that the equitable purpose of subrogation is satisfied by allowing the purchaser to succeed to first position with priority of right to proceeds, without granting the right to foreclose.
<u>Alcorn Trailer City, Inc. v. Blazer, 18 Wash.App. 782 (1977)</u> The court held that a lessor was estopped from denying the reasonable implications of her conduct regarding lease provisions when she accepted rent without objecting to modifications. The court applied estoppel principles to protect the lessee's reasonable expectations under the lease agreement despite the lessor's later attempt to repudiate the arrangement.	 <u>Savings Bank of Puget Sound v. Mink, 49 Wash.App. 204 (1987)</u> The court held that a deed of trust beneficiary was not required to give a debtor formal notice to quit as a jurisdictional prerequisite to maintaining an unlawful detainer action. The court reasoned that a party in possession after the 20-day post-foreclosure period is analogous to a tenant holding over after expiration of a specified term, and such party has actual knowledge of the foreclosure and needs no further notice prior to filing an unlawful detainer action.
<u>Allen v. Migliavacca Realty Co., 74 Wash. 347 (1913)</u> The court held that a lessee is generally estopped from denying the lessor's title, but this estoppel can be overcome by fraudulent representation relating to	 <u>Peoples Nat. Bank of Wash. v. Ostrander, 6 Wash.App. 28 (1971)</u> The court held that in an unlawful detainer action brought by a purchaser at a trustee's sale against the grantors of a trust deed, the grantors could not

matters not equally within the lessee's knowledge. The court recognized that estoppel principles protect lessees' lease rights against challenges to the lessor's title.	maintain a cross-claim for reformation of the trust deed and that the purchaser was entitled to possession. The court reasoned that the grantors had an adequate remedy at law under the Trust Deed Act and could not use defenses based on alleged fraud to prevent the purchaser from obtaining possession.
 <u>Laurelhurst Club v. Backus, 161 Wash. 185 (1931)</u> The court held that a tenant is not estopped to deny the landlord's title where the lease is illegal or contrary to public policy. The court recognized an exception to the general estoppel rule that protects tenants when fundamental public policy concerns are implicated.	<u>Honse v. Clinton, Not Reported in P.3d (2015)</u> The court held that purchasers at a trustee's sale were entitled to possession on the twentieth day following the sale without providing 60 days' notice because the occupants were not tenants subject to chapter 59.18 RCW. The court reasoned that the 60-day notice requirement applies only to tenant-occupied property where occupants have rental agreements, not to grantors or non-tenant occupants.
<u>City of Olympia v. Palzer, 107 Wash.2d 225 (1986)</u> The court held that restrictive covenants which have been dedicated and recorded in a planned unit development survive a tax foreclosure sale. The court reasoned that certain property interests and restrictions survive foreclosure sales when they are properly recorded or dedicated, establishing that not all interests are extinguished by foreclosure.	<u>Huisingh v. Lawson, Not Reported in Pac. Rptr. (2024)</u> The court held that purchasers at a trustee's sale of owner-occupied property were not required to provide 60 days' notice to vacate because the property was not tenant-occupied property as defined by statute. The court reasoned that the 60-day notice requirement applies only when the trustee elected to foreclose the interest of occupants or tenants on tenant-occupied property.
	<u>Federal Nat. Mortg. Ass'n v. Ndiaye, 188 Wash.App. 376 (2015)</u> The court held that a purchaser at a trustee's sale is entitled to possession of the property on the twentieth day following the sale as against anyone having an interest junior to the deed of trust, including occupants who are not

	tenants. The court established the statutory framework under RCW 61.24.060 that grants purchasers the right to summary proceedings to obtain possession.
	<u>Albice v. Premier Mortg. Services of Washington, Inc., 157 Wash.App. 912 (2010)</u> The court held that a purchaser at a nonjudicial foreclosure sale was not a bona fide purchaser for value when the purchase price was 13-18 percent of fair market value, triggering an obligation to investigate the sale. The court reasoned that such a substantial disparity between purchase price and fair market value placed the purchaser on inquiry notice and precluded bona fide purchaser status despite the purchaser's payment of consideration.
	 <u>Albice v. Premier Mortg. Services of Washington, Inc., 174 Wash.2d 560 (2012)</u> The Supreme Court held that a purchaser's extensive real estate experience and familiarity with foreclosure procedures were relevant factors in determining bona fide purchaser status, though the court ultimately found the purchaser was not a bona fide purchaser. The court reasoned that a purchaser's knowledge and experience could support an inference that the purchaser should have conducted further investigation into the foreclosure sale.
	 <u>South Tacoma Way, LLC v. State, 169 Wash.2d 118 (2010)</u> The Supreme Court held that a good faith purchaser for value without actual or constructive notice of another's interest

	in property has a superior interest in that property under the bona fide purchaser doctrine. The court reasoned that the doctrine applies to protect purchasers who acquire property without knowledge of competing claims, even in the context of foreclosure sales.
	<u>Eastlake Lofts Condominium Association v. Hoover, Not Reported in Pac. Rptr. (2019)</u> The court held that the bona fide purchaser doctrine protects a purchaser who acquires property at a judicial sale but was not a party to the action giving rise to the sale, even if the judgment is subsequently overturned on appeal. The court reasoned that a purchaser without actual, constructive, or inquiry notice of another's interest in real property has a superior interest in the property.
	 <u>Grand Inv. Co. v. Savage, 49 Wash.App. 364 (1987)</u> The court held that to receive protection as a bona fide purchaser, a purchaser must be a purchaser (not a donee, heir, or devisee), act in good faith, pay value as defined by law, and be without actual or constructive notice of the rights, equities, or claims of others. The court reasoned that a purchaser for value without notice from one with notice is held to be a bona fide purchaser and takes title free from equities of which the predecessor had notice.
	<u>Triangle Property Development, LLC v. Barton, Not Reported in P.3d (2015)</u> The court held that a purchaser at a foreclosure sale was a bona fide purchaser for value when the record did not suggest the purchaser had knowledge of any defect in the sale that

	would put an ordinarily prudent person upon inquiry. The court reasoned that a purchaser has knowledge of a claim of right or defect only if the purchaser has knowledge of facts sufficient to put an ordinarily prudent person upon inquiry.
	<u>Klee v. Snow, 27 Wash.App.2d 19 (2023)</u> The court held that a landlord seeking to evict a tenant based on the owner's election to sell the property must comply with the 90-day notice requirement under RCW 59.18.650(2)(e), and the owner need not make reasonable attempts to sell the property before the tenant vacates. The court reasoned that the statute's requirement for reasonable attempts to sell or advertise applies only after the tenant has vacated, not before, thus protecting the new owner's right to take possession following proper notice procedures.
	<u>American Bonding Co. of Baltimore v. Dowell, 31 Wash.2d 585 (1948)</u> The court held that a transferee who pays value before receiving notice of a constructive trust qualifies as a bona fide purchaser and can hold property free of the constructive trust. The court reasoned that when both payment of value and transfer occur before the transferee has notice of equitable claims, the transferee is protected as a bona fide purchaser under principles of property law.
	<u>United Savings and Loan Bank v. Pallis, 107 Wash.App. 398 (2001)</u> The court held that a good faith purchaser for value must be without actual or constructive notice of another's interest in the property, and that

	knowledge of facts sufficient to excite inquiry constitutes constructive notice of all that inquiry would have disclosed. The court reasoned that recording of a prior interest provides constructive notice to subsequent purchasers.
	<u>Veristone Fund I, LLC v. Kerrigan, Not Reported in Pac. Rptr. (2020)</u> The court held that parties who delay recording their deeds until after another has recorded a deed to the same property bear the burden of proving actual or constructive notice of their interest, and that recording of the earlier interest provides constructive notice to subsequent purchasers. The court reasoned that failure to prove constructive notice results in the prior conveyance being void against the later recorded party.
	 <u>Forrester v. Reliable Transfer Co., 59 Wash. 86 (1910)</u> The court held that the requirement under Rem. & Bal. Code § 8802 that leases for more than one year be acknowledged affects the validity of the lease itself, not merely its eligibility for public record. The court emphasized that acknowledgment is a substantive requirement for lease validity, establishing that proper recording formalities are essential to protect lease interests against subsequent purchasers.
	 <u>National Laundry Co. v. Mayer, 79 Wash. 212 (1914)</u> The court held that an unacknowledged five-year lease with renewal provisions was invalid as to the renewal term because the renewal constituted a new contract requiring separate acknowledgment. The court's holding

	demonstrates that failure to comply with recording and acknowledgment requirements renders lease provisions unenforceable against subsequent interests.
	 <u>Central Bldg. Co. v. Keystone Shares Corp., 185 Wash. 645 (1936)</u> The court held that leases for periods exceeding one year must comply with statutory requirements applicable to deeds, including acknowledgment and recording formalities. The court established that failure to meet these formal requirements undermines the enforceability of long-term leases against third parties.
	<u>Seawest Inv. Associates LLC v. Charles, Not Reported in P.3d (2013)</u> The court held that an unacknowledged signature on a five-year lease is insufficient to render the lease valid, as Washington law requires that leases for fixed terms over one year be in writing with the landlord's acknowledged signature under RCW 64.04.010 and .020. The court emphasized that an unacknowledged lease creates only a tenancy from rent period to rent period, not the intended multi-year term.
	 <u>Honey v. Davis, 78 Wash.App. 279 (1995)</u> The court held that lessors whose lease subordinated their reversionary interest to a mortgage lien were not comparatively negligent in allowing foreclosure and did not waive their suretyship claims against the lessee. The court reasoned that the subordination clause in the lease established the parties' intent regarding the priority of interests, and the foreclosure resulted

	from the lessee's default rather than any fault of the lessors.
	 Seattle Mortg. Co., Inc. v. Unknown Heirs of Gray, 133 Wash.App. 479 (2006) The court held that a conservation lien on property was extinguished upon foreclosure by a mortgage holder with a superior lien, where the city did nothing to preserve its interest in the property. The court applied traditional lien and recording priority laws establishing that liens take precedence in order of time, with the first recorded interest being superior to later interests.
	Matter of EM Property Holdings, LLC, 199 Wash.2d 725 (2022) The court held that Washington has a race-notice recording act that grants priority to a party who obtains a mortgage later in time as long as that party records the mortgage first and had no actual or constructive notice of the previous mortgage. The court explained that under common law the rule was first in time, first in right, but Washington's recording statute reverses this priority in certain cases.
	BAC Home Loans Servicing, LP v. Fulbright, 180 Wash.2d 754 (2014) The court held that Washington has a race-notice recording system codified under RCW 65.08.070, which provides that the deed or interest first recorded is superior to any outstanding unrecorded conveyance unless the later mortgagee or purchaser had actual knowledge of the prior unrecorded interest. The court explained that the purpose of a recording act is to reverse the common law order of priorities in certain cases.

	<u>Sangha v. Keen, 4 Wash.3d 852 (2025)</u> The court held that procedures in generalized unlawful detainer statutes apply to the extent they are not supplanted by the Residential Landlord-Tenant Act, and both chapters are strictly construed in the tenant's favor. The court established that unlawful detainer actions are governed by chapters 59.12 and 59.18 RCW, with chapter 59.12 being broader and applying to foreclosure sales and holdover tenants.
	<u>Garrand v. Cornett, 31 Wash.App.2d 428 (2024)</u> The court held that unlawful detainer statutes are strictly construed in the tenant's favor and that unlawful detainer is a summary proceeding offering an expedited means to resolve competing claims of possession. The court emphasized that chapters 59.12 and 59.18 RCW are statutes in derogation of common law and must be strictly construed in favor of tenants.
	<u>Skinner v. InCity Properties Holdings, Inc., 35 Wash.App.2d 436 (2025)</u> The court held that the RLTA has modified the application of chapter 59.12 RCW in residential tenancies, but chapter 59.12 claims for forcible entry, forcible detainer, and unlawful detainer remain available. The court established that procedures in chapter 59.12 RCW apply to the extent not supplanted by the RLTA, and both chapters are strictly construed in favor of tenants.
	 <u>Kiemle & Hagood Company v. Daniels, 26 Wash.App.2d 199 (2023)</u> The court held that unlawful detainer is a statutory proceeding providing an expedited method of resolving the right

	to possession of leased property and related issues. The court established that procedures in chapter 59.12 RCW continue to apply unless supplanted by the RLTA, and both chapters are strictly construed in favor of tenants.
	<u>Egbert v. Jorgensen, 580 P.3d 1002 (2025)</u> The court held that unlawful detainer actions provide an expedited means to resolve competing claims of possession between landlords and tenants. The court established that both the RLTA and generalized unlawful detainer statutes are strictly construed in favor of tenants.
	 <u>Commonwealth Real Estate Services v. Padilla, 149 Wash.App. 757 (2009)</u> The court held that the unlawful detainer statute is designed to provide expeditious summary proceedings and is in derogation of common law, thus must be strictly construed in favor of the tenant. The court established that chapter 59.12 RCW provides landlords with a speedy procedure to evict tenants after breach.
	 <u>Randy Reynolds & Associates, Inc. v. Harmon, 193 Wash.2d 143 (2019)</u> The court held that unlawful detainer statutes are in derogation of common law and strictly construed in favor of the tenant, and that procedures in chapter 59.12 RCW apply to the extent not supplanted by the RLTA. The court established that unlawful detainer is a statutorily created proceeding providing an expedited method of resolving the right to possession of property.

	 <u>Howard v. Edgren, 62 Wash.2d 884 (1963)</u> The court held that a mortgagee has no right to possession of mortgaged property without foreclosure and sale according to law, and that contract purchasers who took possession without the owner's consent must pay fair market rental value for use and occupancy. The court rejected equitable arguments that would circumvent statutory requirements regarding mortgagee possession rights.
	<u>Chambers v. Cranston, 16 Wash.App. 543 (1976)</u> The court held that a mortgagee has no right to possession of mortgaged real property unless there is a foreclosure and sale according to law, and that until foreclosure and sale, a mortgagee has only a lien right. The court rejected the mortgagee's attempt to acquire possession rights through tender of payment without completing foreclosure.
	 <u>Clise v. Burns, 175 Wash. 133 (1933)</u> The court held that a provision in a deed of trust pledging rents and profits as security and consenting to appointment of a receiver to collect rents pending foreclosure will not be enforced because it violates the policy that a mortgage is a lien, not a conveyance, vesting the right of possession in the mortgagor until after foreclosure. The court reaffirmed that mortgagees cannot obtain possession rights prior to foreclosure through contractual provisions.
	 <u>Western Loan & Bldg. Co. v. Mifflin, 162 Wash. 33 (1931)</u> The court held that a special receiver's possession to collect rents pending

	foreclosure was not mortgagee possession, and that an assignment of rents to a mortgagee as part of the mortgage transaction gave the mortgagee no right to have rents applied to the mortgage debt prior to foreclosure. The court protected the mortgagor's right to rents and income until foreclosure was perfected.
	<u>Wells Fargo Bank Minnesota v. Vincent, 124 Wash.App. 1 (2004)</u> The court addressed a mortgagee's unlawful detainer action against mortgagors following a nonjudicial foreclosure sale where the mortgagee purchased the property at the sale. The case illustrates the mortgagee's right to possession and ability to remove occupants after acquiring title through foreclosure.
	<u>Prudential Ins. Co. of America v. Ewing, 184 Wash. 203 (1935)</u> The court held that a mortgagee-purchaser at foreclosure sale was entitled to possession of the premises and to collect rents, and that the mortgagor was not entitled to possession during the redemption period unless occupying the premises at the time of sale. The court established that foreclosure transfers possession rights to the purchaser.
	<u>Norlin v. Montgomery, 59 Wash.2d 268 (1961)</u> The court held that a mortgagee of real estate purchasers' equity had no right to possession of the land until the mortgagee was the successful bidder at execution sale and received a sheriff's deed, and that the mortgagee was not entitled to rents accruing after the

	foreclosure action was instituted. The court protected the mortgagor's right to rents until foreclosure was completed.
	<u>Spokane Airport Board v. Experimental Aircraft Association, Chapter 79, 198 Wash.2d 476 (2021)</u> The court held that a tenant in a fixed-term commercial lease becomes a holdover tenant liable for unlawful detainer when they remain in possession after the expiration of the lease term, whether that term is the period fixed in the original lease or as modified by an early termination provision. The court reasoned that a new owner succeeding to title has the right to enforce lease termination provisions and remove holdover tenants.
	<u>Clear Channel Outdoor v. Seattle Popular Monorail Authority, 136 Wash.App. 781 (2007)</u> The court held that a month-to-month tenancy creates no property interest that entitles the tenant to compensation when the state succeeds to title as condemnor, and the state has the right to terminate the tenancy on a month's notice. The court reasoned that a month-to-month tenant acquires no greater rights than the tenancy itself provides, distinguishing such tenancies from fixed-term leases.
	<u>Aberdeen Federal Sav. and Loan Ass'n v. Empire Manufactured Homes, Inc., 36 Wash.App. 81 (1983)</u> The court held that Washington's 1927 recording act amendments were intended to make recording statutes more stringent against holders of unrecorded rights and more protective of purchasers without notice. The court reasoned that the legislature intended to

	strengthen protections for recorded interests over unrecorded interests in real property.
	<u>Genesee, Inc. v. Firstline Inv., Inc., 48 Wash.App. 707 (1987)</u> The court held that even irregularly executed instruments, when recorded, impart the same notice to third persons as properly executed and recorded instruments under RCW 65.08.030. The court reasoned that recording creates constructive notice regardless of execution defects, protecting subsequent purchasers who rely on the recorded document.
	 <u>Leighton v. Leonard, 22 Wash.App. 136 (1978)</u> The court held that a recorded instrument, although not properly acknowledged, served as constructive notice to subsequent purchasers under the curative statute RCW 65.08.030. The court reasoned that recording creates notice to third persons regardless of execution defects, protecting subsequent purchasers' interests.
	 <u>Chelan County v. Nykreim, 105 Wash.App. 339 (2001)</u> The court held that a properly recorded instrument supplies constructive notice of the rights created by the instrument and of the recitals contained therein. The court reasoned that recording is the mechanism by which unrecorded interests become subordinate to recorded interests.
	<u>Bonneviere v. Cole, 90 Wash. 526 (1916)</u> The court held that a holder of an

	unrecorded instrument loses priority rights by failing to record, and subsequent recorded interests take precedence. The court reasoned that the registration statute's purpose is to give notice to subsequent purchasers or mortgagees, and those without actual or constructive knowledge of unrecorded interests are protected.
	<u>Kairez v. Budget Funding I, LLC, Not Reported in P.3d (2013)</u> The court held that an unrecorded interest in real property is ordinarily subordinate to a recorded interest under RCW 65.08.070. The court reasoned that unwritten, unrecorded understandings regarding property interests are void against subsequent recorded interests.
	<u>Silverado Group, L.L.C. v. Larson, Not Reported in P.3d (2004)</u> The court held that unrecorded conveyances of realty are valid between the parties but subordinate to recorded interests under Washington's recording statute. The court reasoned that the purpose of the recording act is to require persons claiming interests in real property to record instruments to give notice of their claims.
	 <u>Koch v. Swanson, 4 Wash.App. 456 (1971)</u> The court held that when existing property is described, the index and recorded document impart notice only as to matters within the chain of title of that property, and one searching the index has a right to rely upon what the index discloses without searching outside the chain of title. The court established that subsequent purchasers and encumbrancers are not bound to search

	records outside the chain of title, protecting those who rely on the recording system.
	<u>Larson v. Snohomish County, 20 Wash.App.2d 243 (2021)</u> The court held that once an encumbrance on real property is recorded, a subsequent purchaser is deemed to have constructive notice of it, but anyone searching the county land index has a right to rely on it and is not bound to search for records outside the recorded chain of title. The court reaffirmed that Washington's recording system provides constructive notice and establishes priority of recorded interests while protecting purchasers who rely on the recorded chain of title.
	<u>Woodard v. Hahn, Not Reported in P.3d (2009)</u> The court held that a party searching the index has a right to rely upon what the index and recorded document disclose and is not bound to search the record outside the chain of title, and that recording statutes regard properties with a common grantor as having separate chains of title once segregated. The court established that interests must be recorded within the chain of title to the burdened property to receive recording statute protections.
	<u>Diimmel v. Morse, 36 Wash.2d 344 (1950)</u> The court held that an encumbrancer without notice of existing equities may rely on the record chain of title and in the absence of notice is not bound to go outside the records to inquire about them. The court established that recording acts govern priority disputes

	and protect those who rely on the recorded chain of title without actual or constructive notice of unrecorded interests.
	 <u>Udall v. T.D. Escrow Services, Inc., 159 Wash.2d 903 (2007)</u> The court held that a trustee must deliver a trustee's deed to the purchaser following a nonjudicial foreclosure sale absent a procedural irregularity that voids the sale, and that insufficiency of price is not a procedural irregularity that invalidates the sale. The court reasoned that the Deed of Trust Act was designed to provide a streamlined foreclosure process that gives purchasers clear title and possession rights without extensive post-sale litigation.
	 <u>Plein v. Lackey, 149 Wash.2d 214 (2003)</u> The court held that the statutory procedure for obtaining a restraining order or injunction under RCW 61.24.130 is the only means by which a grantor may preclude a trustee's sale once foreclosure has begun with receipt of the notice of sale. The court reasoned that a junior lienholder who fails to obtain a preliminary injunction or other order restraining the sale waives the right to contest the nonjudicial foreclosure and trustee's sale.
	<u>Koegel v. Prudential Mut. Sav. Bank, 51 Wash.App. 108 (1988)</u> The court held that while the nonjudicial foreclosure procedure requires close scrutiny of statutory procedures, a trustee's nonprejudicial error does not require avoidance of the sale when the debtor could have invoked judicial protection prior to the sale but failed to

	do so. The court reasoned that the legislature designed the streamlined nonjudicial foreclosure process to avoid time-consuming judicial proceedings and to provide the purchaser with clear rights to possession through summary proceedings.
	 <u>Bavand v. OneWest Bank, F.S.B., 176 Wash.App. 475 (2013)</u> The court held that even where a party fails to timely enjoin a trustee's sale, if a trustee's actions are unlawful, the sale is void and there is no waiver of the right to seek relief, but that an invalid appointment of a successor trustee makes the foreclosure and sale invalid. The court reasoned that while procedural defects can void a sale, the general principle remains that purchasers at valid sales acquire superior rights to occupants and prior owners.
	 <u>Brown v. Household Realty Corp., 146 Wash.App. 157 (2008)</u> The court held that the procedure provided by the Deed of Trust Act under RCW 61.24.130, which allows any enumerated entity to restrain a trustee's sale on any proper ground, is the only means by which a grantor may preclude a sale once foreclosure has begun. The court reasoned that this statutory procedure is exclusive and that failure to use it results in waiver of the right to challenge the sale.
	<u>Woolworth v. Micol Land Co., 55 Wash.App. 671 (1989)</u> The court held that a junior lienor who received timely notice of an earlier foreclosure by the holder of a first deed of trust was precluded from seeking to set aside the trustee's sale after the fact,

	and that the junior lien was extinguished upon completion of the foreclosure sale. The court reasoned that interested parties may halt nonjudicial foreclosure by curing default or obtaining a restraining order on proper grounds, but failure to do so results in loss of rights.
	<u>Centrum Financial Services, Inc. v. Union Bank, N.A., 1 Wash.App.2d 749 (2017)</u> The court held that a trustee's deed from a nonjudicial foreclosure sale conveys all right, title, and interest in the property sold at the trustee's sale which the grantor had or had the power to convey at the time of the execution of the deed of trust. The court applied RCW 61.24.090 to establish the scope of rights transferred to foreclosure purchasers through the trustee's deed.
	<u>In re Giannusa, 169 Wash.App. 904 (2012)</u> The court held that after a senior lienholder's nonjudicial trustee's sale under a deed of trust, a second deed of trust beneficiary has a superior interest in the surplus over the borrower. The court applied RCW 61.24.080(3) to determine priority of interests following a foreclosure sale.
	<u>Bert Kuty Revocable Living Trust ex rel. Nakano v. Mullen, 175 Wash.App. 292 (2013)</u> The court held that after a senior lienholder's nonjudicial trustee's sale under a deed of trust, a second deed of trust beneficiary has a superior interest in the surplus over the borrower. The court applied RCW 61.24.080(3) to establish the priority of interests in foreclosure sale proceeds.

	  <u>Walker v. Quality Loan Service Corp., 176 Wash.App. 294 (2013)</u> The court held that under the Deeds of Trust Act, only a lawful beneficiary has the power to appoint a successor trustee, and only a lawfully appointed successor trustee has the authority to issue a notice of trustee's sale. The court applied RCW 61.24.010(2) and 61.24.040 to establish the requirements for valid foreclosure authority.
	<u>Breiwick v. First American Title Ins. Co., Not Reported in P.3d (2011)</u> The court held that a trustee must deliver the deed to the purchaser following a nonjudicial foreclosure sale absent a procedural irregularity that voids the sale, and that the beneficiary's unilateral mistake in the bid price does not constitute defective bidding. The court applied RCW 61.24.040(4), (7) and 61.24.050 to establish the trustee's ministerial duty to convey to the highest bidder.
	  <u>Housing Resource Group v. Price, 92 Wash.App. 394 (1998)</u> The court held that a lease with an indefinite term and monthly rent reserved constitutes a month-to-month tenancy under RCW 59.18.200. The court reasoned that when a lease states the term shall continue until affirmative acts are taken and rent is due monthly, the tenancy is construed as month-to-month rather than a fixed-term lease.
	<u>Stephanus v. Anderson, 26 Wash.App. 326 (1980)</u> The court held that a month-to-month tenancy terminated according to statutory procedures is not subject to retaliatory eviction protections. The court

	reasoned that RCW 59.18.200 permits termination of month-to-month tenancies by written notice without statutory cause, distinguishing such terminations from other landlord actions.
	 <u>Ward v. Hinkleman, 37 Wash. 375 (1905)</u> The court held that a month-to-month tenancy created by indefinite rental with monthly rent reserved is a continuing tenancy that persists until terminated by proper notice. The court reasoned that the statutory framework treats such tenancies as continuing rather than creating a new tenancy each month.
	 <u>Leda v. Whisnand, 150 Wash.App. 69 (2009)</u> The court held that a month-to-month residential tenant cannot renew tenancy by sending unsolicited rent payment after receiving proper notice to vacate. The court reasoned that landlords have no statutory requirement for cause to terminate month-to-month tenancies upon proper notice, and thus no breach exists for the tenant to cure.
	<u>Najewitz v. City of Seattle, 21 Wash.2d 656 (1944)</u> The court held that an agreement without monthly rent reserved creates a tenancy at will, not a month-to-month tenancy, and is terminable on demand without notice. The court reasoned that the statutory framework requires monthly or periodic rent to create a month-to-month tenancy.
	<u>Union Oil Co. of California v. Walker, 150 Wash. 151 (1928)</u> The court held that an unacknowledged

	lease for over one year with monthly rental creates only a month-to-month tenancy. The court reasoned that unrecorded leases exceeding one year cannot create fixed-term tenancies and default to month-to-month status.
	<u>Logan v. Time Oil Co., 73 Wash.2d 161 (1968)</u> The court held that a purported 10-year lease lacking mutuality creates only a month-to-month tenancy not subject to renewal or extension. The court reasoned that leases binding neither party for a fixed term cannot create enforceable long-term tenancies.
	<u>Garbrick v. Franz, 13 Wash.2d 427 (1942)</u> The court held that an unacknowledged lease for a period longer than one year creates a month-to-month tenancy. The court reasoned that unrecorded leases exceeding one year cannot satisfy the statute of frauds and thus convert to periodic tenancies.
	<u>OTR v. Flakey Jake's, Inc., 112 Wash.2d 243 (1989)</u> The court held that an assignee of a lease remains liable for rent under privity of contract theory when the lease contains an express covenant to pay rent, even if the assignee makes a subsequent assignment. The court reasoned that privity of contract is distinct from privity of estate and survives assignment, binding the original lessee and assignees to their express covenants regardless of whether the landlord consented to the assignment.
	<u>Port of Pasco v. Stadelman Fruit, Inc., 60 Wash.App. 32 (1990)</u>

	The court held that even an absolute assignment of a lease does not relieve the assignor of liability for rent based on privity of contract where the lease contains an express covenant to pay rent. The court reasoned that conditional assignments retain implied rights of reentry and that privity of contract obligations survive assignment independent of privity of estate.
	 <u>National Bank of Commerce of Seattle v. Dunn, 194 Wash. 472 (1938)</u> The court held that an assignee of a lease bound only by privity of estate may relieve himself of liability by assigning the lease to another, even to an irresponsible person, but that privity of contract obligations survive assignment. The court reasoned that the distinction between privity of estate and privity of contract is critical, and that express covenants in the original lease bind successors through contract principles.
	<u>Nutley v. Gregory, 6 Wash.App. 576 (1972)</u> The court held that an assignment of a lease must be a bona fide assignment and not fraudulent or merely colorable to terminate privity of estate. The court reasoned that a tenant's attempt to escape personal responsibility by assigning to a corporation in which the tenant was principal stockholder was inoperative and did not relieve the original tenant of liability.
	<u>Puget Mill Co. v. Kerry, 183 Wash. 542 (1935)</u> The court held that the liability of the original lessee for rent is absolute and based on privity of contract, while the liability of an assignee who has not

	assumed obligations is based on privity of estate and may be terminated by further assignment. The court reasoned that these two distinct bases of liability create different legal consequences for original lessees versus assignees.
	 <u>Olin v. Goehler, 39 Wash.App. 688 (1985)</u> The court held that an implied right of reentry may be reserved in favor of assignors of a lease where the assignment is conditional and the lessor's consent refers to collateral rights. The court reasoned that privity of estate continues when an assignment is conditional rather than absolute, preserving the assignor's rights and obligations.
	<u>Medgard v. Shimogaki, 135 Wash. 527 (1925)</u> The court held that an assignment by a lessee does not affect the lessee's subsequent liability upon express covenants in the lease, even with the lessor's consent. The court reasoned that although assignment terminates privity of estate, privity of contract between lessor and original lessee remains unaffected and continues to bind the lessee.
	<u>Johnson v. Goddard, 179 Wash. 493 (1934)</u> The court held that an assignment by a lessee does not affect the lessee's liability on express covenants in the lease, even with the lessor's consent or by act of law. The court reasoned that privity of contract between lessor and original lessee survives assignment and continues to bind the lessee to express covenants.

	 <u>Paris American Corp. v. McCausland, 52 Wash.App. 434 (1988)</u> The court held that an unrecorded lease agreement does not create a void interest against subsequent purchasers because the recording statute under RCW 65.08.070 applies only to real property conveyances, not personal property leases. The court rejected the argument that failure to record a lease rendered it void against third parties.
	<u>Courtright Cattle Co. v. Dolsen Co., 94 Wash.2d 645 (1980)</u> The court held that a subsequent purchaser for value without actual or constructive notice acquired priority over an unrecorded lease of personal property fixtures because the lessor failed to record its interest under the recording statute. The court established that failure to record an interest in fixtures defeats priority against subsequent purchasers without notice.
	 <u>Bank of America, N.A. v. Prestance Corp., 160 Wash.2d 560 (2007)</u> The court held that Washington's recording statute under RCW 65.08.070 implements a race-notice system where the first recorded interest takes priority unless the later mortgagee has actual knowledge of the prior unrecorded interest. The court explained that the recording statute protects only good faith purchasers and mortgagees who record first without knowledge of prior unrecorded interests.
	<u>Roberts v. State, 175 Wash. 154 (1933)</u> The court held that a purchaser at a foreclosure sale of farm land in possession of a tenant under lease was entitled to rents for the period

	subsequent to the sale, as against an assignee of rents. The court reasoned that the foreclosure purchaser's interest in the property includes the right to collect rents accruing after the foreclosure sale.
	 <u>M.H.B. Co. v. Desmond, 151 Wash. 344 (1929)</u> The court held that an unrecorded lease does not bind subsequent incumbrancers without notice, and that mortgagees of fixtures were valid against the lessee's interests despite the unrecorded lease. The court reasoned that an unrecorded lease, as against subsequent incumbrancers without notice, does not prevent those incumbrancers from taking valid interests in the property and fixtures.
	<u>Eyanson v. Waidlich, 57 Wash. 234 (1910)</u> The court held that a grantee under a quitclaim deed is a bona fide purchaser within the recording acts. The court established that recording act protections apply to various types of grantees, including those taking through quitclaim deeds.
	<u>Building Industry Association of Washington v. State, 30 Wash.App.2d 148 (2024)</u> The court held that a statute setting forth a document recording surcharge for deeds and other instruments does not require property owners to record real property conveyances, but merely provides that conveyances "may be recorded" to protect the purchaser's interest against subsequent purchasers. The court recognized that recording

	statutes serve to protect purchasers' interests in the chain of title.
	<u>Bennion v. Comstock Inv. Corp., 18 Wash.App. 266 (1977)</u> The court held that a sublessee's rights are no greater than those of the sublessor, and when the sublessor's lease is terminated, the original lessor is entitled to possession as against the sublessee. The court reasoned that a sublessee holds the premises subject to performance of the original lease obligations, and forfeiture of the original lease terminates the sublessee's rights.
	<u>Stetson & Post Mill. Co. v. Pacific Amusement Co., 37 Wash. 335 (1905)</u> The court held that a foreclosure sale of a leasehold interest conveyed no greater rights than the lessee possessed, and when the lease was forfeited to the lessor before the foreclosure sale, the foreclosure purchaser acquired no rights to the premises. The court reasoned that the foreclosure purchaser's rights were barred by the lessor's lawful re-entry for breach of lease covenants.
	<u>Williams v. Striker, 29 Wash.App. 132 (1981)</u> The court held that constructive notice of an adverse claim imparted by recording statutes does not preclude a party's good faith claim to property under other statutes. The court recognized that recording statutes provide constructive notice to subsequent parties but that such notice operates within the framework of the recording act's protection for good faith purchasers.
	 <u>Flynn v. Garford Motor Truck Co., 149 Wash. 264 (1928)</u>

	The court held that recording of an instrument does not operate as constructive notice unless recording is authorized by statute. The court established that the recording statute is the exclusive means by which recording provides constructive notice to subsequent parties.
	 <u>Bank of America, N.A. v. Owens, 153 Wash.App. 115 (2009)</u> The court held that filing of a judgment creates constructive notice to third parties who deal with the judgment debtor with respect to the real property to which the lien attaches. The court applied recording principles to determine that recorded judgments provide constructive notice to subsequent parties.
	<u>John Morgan Const. Co., Inc. v. McDowell, 62 Wash.App. 79 (1991)</u> The court held that constructive notice of a recorded claim of lien is sufficient to put a party on inquiry notice to investigate the status of recorded liens. The court established that recording provides constructive notice that triggers a duty to inquire further.
	<u>Nagle v. Snohomish County, 129 Wash.App. 703 (2005)</u> The court held that constructive notice arises by presumption of law from the existence of facts and circumstances that a party had a duty to take notice of, such as a registered deed or pending lawsuit. The court established that constructive notice is imputed to a person based on recorded instruments and public records.

	 <u>South Tacoma Way, LLC v. State, 146 Wash.App. 639 (2008)</u> The court held that the bona fide purchaser doctrine provides that a good faith purchaser for value without actual or constructive knowledge of another's interest in real property has a superior interest in the property. The court reasoned that this doctrine protects purchasers who acquire property without notice of competing claims.
	 <u>Reed v. Eller, 33 Wash.App. 820 (1983)</u> The court held that a bona fide purchaser for value takes free of unrecorded antecedent interests in the same property as long as the purchaser's interest is recorded first. The court reasoned that a bona fide purchaser is one who without notice of another's claim of right to or equity in property prior to acquisition of title has paid the vendor valuable consideration.
	<u>Biles-Coleman Lumber Co. v. Lesamiz, 49 Wash.2d 436 (1956)</u> The Supreme Court held that purchasers of a tract of land were bona fide purchasers for value without prior notice of a claim of ownership of timber on the property. The court reasoned that a bona fide purchaser for value is one who has had no notice of another's claim of right to or equity in the property prior to acquisition of title and who has paid valuable consideration.
	<u>American State Bank v. Sullivan, 134 Wash. 300 (1925)</u> The court held that recording of a lease is not a prerequisite for filing a landlord's lien on crops, but rather the statute was intended to obviate the necessity for

	filing a lien where the lease is recorded. The court's reasoning reflects Washington's policy that recording provides constructive notice and protects interests against subsequent purchasers.
	 <u>In re Freeborn, 94 Wash.2d 336 (1980)</u> The court held that where a vendor assigns a real estate contract that conveys legal title to real estate, the assignee-grantee must both file pursuant to UCC Article 9 and record pursuant to real property conveyances recording statute in order to have priority over subsequent lien creditors and purchasers. The court established that compliance with recording requirements is essential to obtain priority protection.
	 <u>Angelo Property Co., LP v. Hafiz, 167 Wash.App. 789 (2012)</u> The court held that unlawful detainer actions under chapter 59.12 RCW have limited subject matter jurisdiction and that the same rules apply to residential leases under chapter 59.18 RCW. The court established that unlawful detainer is the legal substitute for the common-law right of personal re-entry for breach.
	 <u>Little v. Catania, 48 Wash.2d 890 (1956)</u> The court held that giving a statutory three-day notice is a condition precedent to an unlawful detainer action and must be established upon trial before judgment can be pronounced. The court established that where notice was neither pleaded nor proved, any judgment of unlawful detainer was erroneous.

	 <u>FPA Crescent Associates, LLC v. Jamie's, LLC, 190 Wash.App. 666 (2015)</u> The court held that unlawful detainer is the legal substitute for the common-law right of personal re-entry for breach. The court established that unlawful detainer actions provide a statutory mechanism for landlords to obtain possession and damages.
	<u>Webster v. Litz, 18 Wash.App.2d 248 (2021)</u> The court held that an unlawful detainer action is a statutorily created proceeding that provides an expedited method of resolving the right to possession of property between a landlord and a tenant. The court established the framework for unlawful detainer proceedings under RCW 59.18.380.
	<u>Heaverlo v. Keico Industries, Inc., 80 Wash.App. 724 (1996)</u> The court held that the purpose of the unlawful detainer statute is to provide a limited summary proceeding to preserve peace by offering an expedited method for resolving the right to possession of property. The court established the statutory framework under chapter 59.12 RCW.
	 <u>Coleman v. Hoffman, 115 Wash.App. 853 (2003)</u> The court held that a mortgagee that merely collected rents after the mortgagor's default was not a mortgagee in possession and therefore could not be held liable for premises defects absent indicia of control such as leasing, repairs, or management decisions. The court established that possession requires active control over property management functions beyond simple rent collection.

	 <u>MB Const. Co. v. O'Brien Commerce Center Associates, 63 Wash.App. 151 (1991)</u> The court held that a mortgagee is not a necessary party to a lien foreclosure action, and that a foreclosure action omitting a mortgagee is void only as to that mortgagee, not as to other parties. The court distinguished between necessary parties (whose omission voids the entire action) and proper parties (whose omission voids the action only as to them).
	 <u>DeYoung v. Cenex Ltd., 100 Wash.App. 885 (2000)</u> The court held that a junior mortgagee that exercised its statutory right of redemption in a senior mortgagee's foreclosure action was not barred from bringing suit on a promissory note, since the senior mortgagee's foreclosure extinguished the junior mortgage. The court recognized that foreclosure proceedings extinguish junior interests in property.
	 <u>Robinson v. Khan, 89 Wash.App. 418 (1998)</u> The court held that an encumbrance is any right to or interest in land which may subsist in third persons to the diminution of value of the estate of the tenant, and addressed the recording of documents that serve a notice function. The court recognized that recorded documents can cloud title and affect a fee owner's ability to exercise ownership rights.
	<u>Finley v. Finley, 43 Wash.2d 755 (1953)</u> The court held that a person receiving a certificate of title in pursuance of a decree of registration takes land free

	from all prior encumbrances whether or not the person is a purchaser for value and in good faith. The court established that bona fide purchaser status requires the purchaser to be one for value, and without such status, the purchaser is not entitled to protection from prior encumbrances.
	 <u>C 1031 Properties, Inc. v. First American Title Ins. Co., 175 Wash.App. 27 (2013)</u> The court held that title insurance is a guaranty of the accuracy of a company search and record title on a specific property, and that insureds reasonably rely on title insurers to discover any encumbrances recorded in the public record. The court recognized that by paying consideration for expert title services, insureds have a reasonable expectation that recorded defects in title will be discovered.
	<u>Kiniski v. Archway Motel, Inc., 21 Wash.App. 555 (1978)</u> The court held that title insurance is a guaranty of the accuracy of a company search and record title on a specific property, and that title insurers have no duty to disclose items outside the chain of title. The court established that title companies may rely on the express language of recorded documents and have no duty to discover unrecorded interests or items falling outside the chain of title.
	<u>Lombardo v. Pierson, 121 Wash.2d 577 (1993)</u> The court held that title insurance companies have no duty to disclose items falling outside the chain of title and that abstractors have no duty to report

	items outside the chain of title. The court established that title companies may rely on the express language of recorded documents and are not negligent in failing to discover unrecorded interests or documents outside the chain of title.
	 <u>McPherson v. Purdue, 21 Wash.App. 450 (1978)</u> The court held that a trustee under a deed of trust did not have a duty to disclose to prospective purchasers at a foreclosure sale that there was a defect in title consisting of the absence of any title to an easement which the deed of trust purported to convey. The court applied RCW 61.24.020 and 61.24.050 to establish the limited disclosure obligations of trustees to foreclosure sale purchasers.
	 <u>Winters v. Quality Loan Service Corporation of Washington, Inc., 11 Wash.App.2d 628 (2019)</u> The court held that if a borrower defaults on an underlying obligation secured by a deed of trust that grants the trustee the power of sale, the trustee may foreclose on the deed of trust and sell the property without judicial supervision. The court applied RCW 7.28.230(1) and 61.12.090 to establish the trustee's nonjudicial foreclosure authority.
	 <u>Bain v. Metropolitan Mortg. Group, Inc., 175 Wash.2d 83 (2012)</u> The court held that when secured by a deed of trust that grants the trustee the power of sale if the borrower defaults on repaying the underlying obligation, the trustee may usually foreclose the deed of trust and sell the property without judicial supervision. The court applied RCW

	7.28.230(1), 61.12.090, and 61.24.020 to establish the statutory framework for nonjudicial foreclosure.
	 <u>Pacific Northwest Group A v. Pizza Blends, Inc., 90 Wash.App. 273 (1998)</u> The court held that parties may orally modify a lease to convert a fixed-term tenancy to month-to-month despite a no-oral-modification clause. The court reasoned that such clauses are unenforceable and parties retain the right to contract for month-to-month tenancies at original rent rates.
	<u>Marsh-McLennan Bldg., Inc. v. Clapp, 96 Wash.App. 636 (1999)</u> The court held that a holdover clause converting a tenant to month-to-month status applies the original lease terms to the subsequent month-to-month tenancy. The court reasoned that month-to-month tenancies are terminable by statutory notice and distinguished them from tenancies at sufferance.
	<u>London & San Francisco Bank v. Curtis, 27 Wash. 656 (1902)</u> The court held that payment and acceptance of rent at different intervals does not change the underlying month-to-month tenancy created by indefinite rental with monthly rent reserved. The court reasoned that the fundamental tenancy type is determined by the original lease terms, not subsequent payment practices.
	 <u>Ernst Home Center, Inc. v. Sato, 80 Wash.App. 473 (1996)</u> The court held that a tenant seeking to assign a commercial lease must obtain the landlord's consent and that a landlord

	may not unreasonably withhold consent. The court reasoned that lease assignment rights and restrictions are enforceable contractual provisions that govern the rights of parties to transfer leasehold interests.
	 <u>Fischler v. Nicklin, 51 Wash.2d 518 (1958)</u> The court held that an assignor remains liable on a guaranty given in connection with an assignment of a lease even if the assignor cannot procure a required license after the sublessee's default. The court reasoned that contractual liability for assignment obligations survives changed circumstances and does not excuse performance.
	 <u>Rainier Nat. Bank v. Inland Machinery Co., 29 Wash.App. 725 (1981)</u> The court held that a security interest in personal property could not be perfected without timely filing under the UCC, and that failure to file would result in loss of priority against subsequent creditors. The court emphasized that proper filing procedures are essential to establish priority rights and that failure to comply with statutory filing requirements results in loss of protection against subsequent interests.
	 <u>Kim v. Lee, 145 Wash.2d 79 (2001)</u> The court adopted the doctrine of equitable subrogation to maintain proper priority order when a senior mortgage is replaced with a new mortgage, holding that the new mortgage retains the same priority as its predecessor unless the modification materially prejudices junior interests. The court emphasized that

	recording act protections apply to those who acquire interests when a senior mortgage is not of record.
	<u>Scott's Excavating Vancouver, LLC v. Winlock Properties, LLC, 176 Wash.App. 335 (2013)</u> The court held that mechanics' liens create an off-the-record interest that may be senior to interests actually recorded before the lien's recording but after commencement of work on the project. The court established that mechanics' liens are a statutory exception to the first in time, first in right priority rule under Washington's recording system.
	<u>A.A.R. Testing Laboratory, Inc. v. New Hope Baptist Church, 112 Wash.App. 442 (2002)</u> The court held that mechanics' liens are a statutory exception to the first in time, first in right priority rule and create off-the-record interests that may be senior to interests recorded prior to the lien's recording but after commencement of work. The court established that during the period between commencement of work and actual recording of a lien, the mechanics' lien has off-record priority.
	 <u>Berger v. Baist, 165 Wash. 590 (1931)</u> The court held that the first of bona fide assignees for value of the same mortgage to record the assignment acquires priority over subsequent assignees. The court established that the recording act applies to the recording of mortgages but not as between assignments of different mortgages.
	<u>Summerhill Village Homeowners Ass'n v. Roughley, 289 P.3d 645 (2012)</u>

	The court held that as a general rule, the priority of competing lien claims depends on the order in which those claims attached to the encumbered property, subject to recording requirements, following the first in time, first in right principle. The court acknowledged that statutory exceptions exist to this general rule, such as condominium association super priority liens.
	<u>Lennar Multifamily Builders, LLC v. Saxum Stone, LLC, 18 Wash.App.2d 435 (2021)</u> The court held that construction liens are off-the-record interests that may be senior to interests actually recorded prior to the lien's recording but after commencement of work on the project. The court established that during the period between commencement of work and actual recording of a construction lien, the lien has off-record priority.

Research Steps

- ✓ Researching Washington state statutory provisions regarding tenant rights when rental property is sold or foreclosed, focusing on RCW Title 59 (Landlord and Tenant Act)
 - Found key Washington landlord-tenant statutes including RCW 59.12.030 (unlawful detainer), RCW 59.18.650 (eviction notice requirements), and RCW 59.18.200 (tenancy termination notices), but need to search specifically for foreclosure-related tenant protection provisions
- ✓ Examining Washington foreclosure law under RCW 61.24 (Deed of Trust Act) to determine how foreclosure affects existing tenant leases and notice requirements
 - Found key Washington Deed of Trust Act provisions - RCW 61.24.040 requires notice to tenants whose lease is recorded after the deed of trust, and RCW 61.24.060 addresses post-foreclosure tenant rights. Several relevant cases address foreclosure's impact on tenant leases

- ✓ Analyzing Washington case law addressing whether unrecorded leases survive foreclosure and the rights of tenants against new owners who acquire property through foreclosure
 - Found key cases: Peoples National Bank v. Birney's (1989) - unrecorded lease survived foreclosure due to inquiry notice doctrine; Virges v. E.F. Gregory Co. (1917) - tenant lease continued during redemption period; Raun v. Caudill (2016) - statutory foreclosure notices are valid. These establish that unrecorded leases can survive if purchaser had notice
- ✓ Investigating Washington statutory requirements for eviction notices under RCW 59.12, specifically examining whether 60-day notice provisions apply to post-foreclosure situations with existing tenants
 - Found RCW 61.24.146 - tenants in possession at time of foreclosure sale must receive 60 days written notice before removal under unlawful detainer proceedings. This applies to all tenants regardless of lease recording status
- ✓ Researching the legal distinction in Washington between recorded and unrecorded leases in the context of foreclosure proceedings and subsequent tenant protections
 - Legal distinction established - recorded leases that are recorded after deed of trust receive formal notice during foreclosure but both recorded and unrecorded leases can survive foreclosure based on inquiry notice doctrine and bona fide purchaser analysis. RCW 61.24.146 provides uniform 60-day notice protection regardless of recording status

Questions for further research

1. **Was the five-year lease agreement in writing and do you have a copy of the lease document?**
2. **When you say the tenants did not record the lease, do you mean it was never filed with the county recorder's office, or are you uncertain about its recording status?**
3. **Was the property visibly occupied by tenants at the time the foreclosure proceedings began and during the foreclosure sale?**

4. **Did the new owner conduct any inspection of the property or have any communication with the tenants before or immediately after the foreclosure sale?**
5. **How long had the tenants been in possession of the property before the foreclosure occurred?**